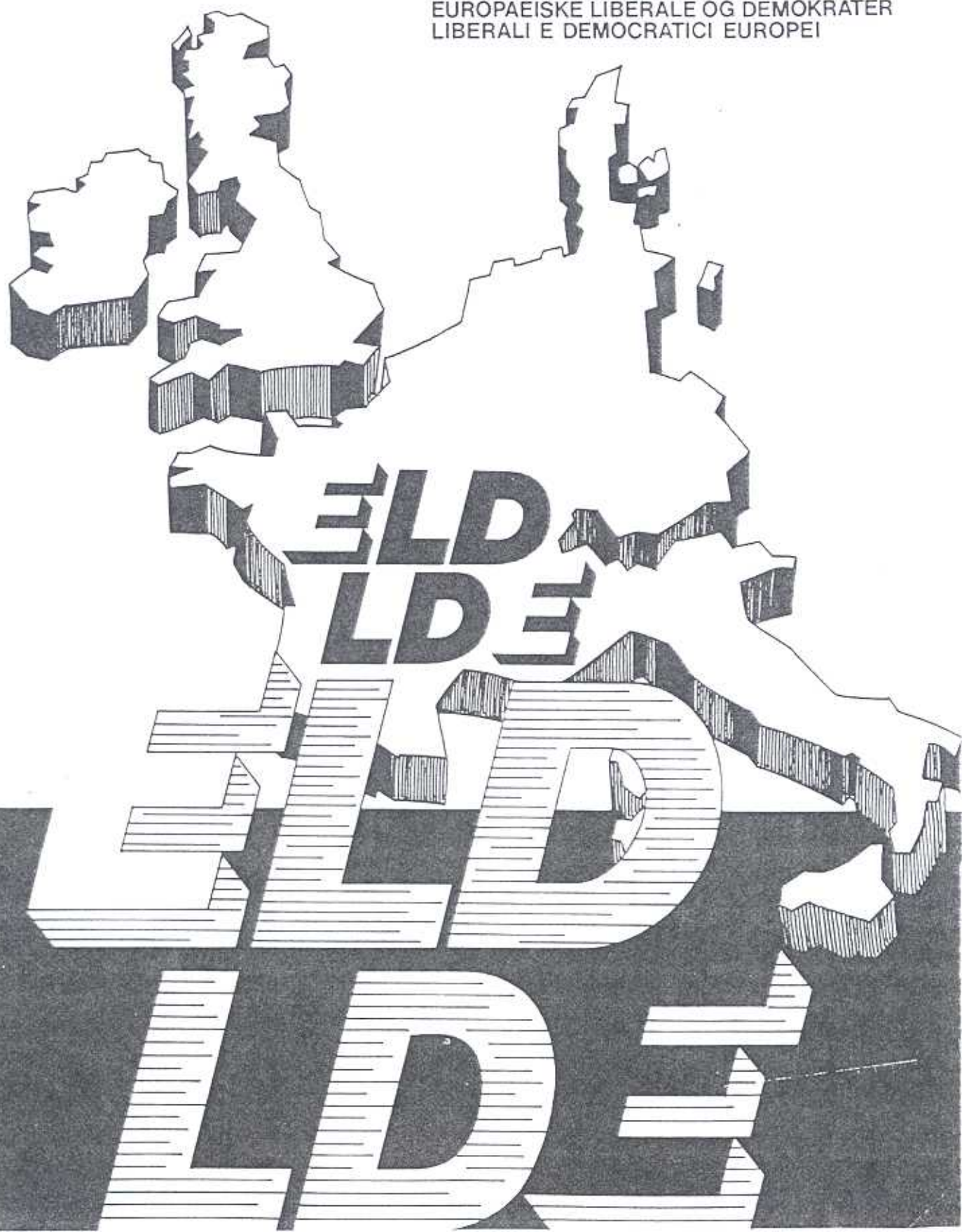


programme for europe

EUROPEAN LIBERALS AND DEMOCRATS
LIBERAUX DEMOCRATES EUROPEENS
EUROPÄISCHE LIBERALE DEMOKRATEN
EUROPESE LIBERAAL-DEMOCRATEN
EUROPAEISKE LIBERALE OG DEMOKRATER
LIBERALI E DEMOCRATICI EUROPEI



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PREAMBLE

Every political system is ultimately based on a certain view of man, both as a person and as a member of society. We, European liberals and democrats, wish to state our position clearly on this point: We believe in the importance and the essential dignity of the individual whom we see as a responsible citizen, neither oppressing or exploiting others nor being subservient to them, playing his full part in a society based on freedom under the law, reason, human solidarity and mutual respect. We consider human beings to be an integral part of their environment and therefore responsible for it. It is through freedom of thought and expression, combined with respect for the views of others, that traditional solutions are continually and critically re-examined to ensure that they still meet the needs of a changing world. Thus, reasoned debate will lead to the peaceful resolution of differences in a truly civilised society. We see strength in diversity and welcome a pluralist society. The only attitude we cannot tolerate is intolerance.

Oppression, privilege and exploitation mark much of the past and present history of Europe. Certain forms of tyranny have disappeared only to be replaced by others. This is why liberalism is never outmoded but remains highly relevant: as in the past, liberals and democrats continue to challenge excessive concentration of political or economic power, whether in the hands of absolute monarchs, landowners, monopoly producers or trade unions. We represent no single interest group but seek to serve the public interest as a whole. We are concerned with the needs of all members of society, especially the disadvantaged and underprivileged, and with the protection of the legitimate individual and group liberties and interests of all, irrespective of race, religion, social origin, or sex. In a liberal society women must obtain, in fact as well as in law, the equality to which they are entitled and which will lead to a redistribution of roles between men and women and a true sharing of responsibility between equal partners.

Liberalism is primarily a political approach. We do not see political and social institutions or economic systems as ends in themselves, but as instruments which must ensure freedom and equal opportunity for the fulfilment of the individual and the community in which he lives. We reject utopian dogma and perfectionist ideologies. Attempts to apply them always lead to dictatorship and disaster. We oppose the collectivist and Marxist tradition whose application inevitably leads to a new type of authoritarian, elitist society. At the same time, unlike the conservatives we are not committed to defend traditional economic, social or political patterns. We welcome and promote

change. We seek to preserve and develop what is good in our society whilst using the tremendous changes taking place in our present-day world in such a way as to bring nearer the kind of society we, liberals and democrats, desire to see.

These changes are many. The growth in population, the limited supply of energy and other primary resources, the explosive expansion of technology both for military and for peaceful uses, and the great increase in economic and social planning present new dangers to freedom and to the creative individual. But they also provide new opportunities for a fuller and a happier life. Here, the correct application of liberal and democratic thought and action will be essential in order to ensure the proper balance between authority and liberty, between central control and decentralisation, and between national and international responsibilities.

The European Dimension

One of the greatest changes of all concerns the position of the nation state in Europe. In the course of two world wars which were also European civil wars, Europe was transformed from the principal centre of political, economic, scientific and cultural power in the world, into an embattled and divided area shorn of much of its former influence. For the individual nations of Western Europe, the future lay clearly in their beginning to act together on their joint behalf. As a first step in this direction, the European Community came into being and liberals have been in the vanguard of its creation. But although we recognize and welcome the benefits which the beginnings of economic unification have brought, we have always seen and continue to see the ultimate goal as the creation of a political union.

For us, European liberals and democrats, European unity means more than agreements between national governments in areas where their interests happen to coincide. To us it implies a re-definition of the role of the nation state in the light of present-day needs and constraints. It means a union of peoples as well as states. We recognize the fact that the nation state has become, in some cases too small to solve many of the major political, economic, social and environmental problems that face us, in others too large to reflect and respond to the particular needs of their different regions. The kind of European union we wish to see will be endowed with institutions capable of taking joint European decisions in areas where national action can no longer be sufficient and will also allow the regions which make up so much of our cherished cultural diversity, to play an increasingly important role.

We have always been in the forefront of the battle for direct elections to the European Parliament. These have at last arrived and they add a much-needed European dimension to the political scene in our countries. Accustomed for generations to operating within the national frame of reference only, kindred political forces have now had to seek out each other across age-old frontiers with a view to establishing a common electoral platform with which to present themselves to 181 million European voters.

European liberals and democrats, never having forgotten their common roots, rapidly set up the machinery for common political action. Having established the Federation of Liberal and Democratic Parties in the European Community in 1976, we were the first to adopt, at a Congress representing all our member parties, our European electoral programme which is now presented to the public. In it we seek to apply our European liberal and democratic principles to the great issues of our time. We believe that by tackling major problems on a European scale we shall have a better chance of solving them.

The Economic and Social Challenge

Europe faces a new situation. The first decade of the Community was a period of remarkable economic growth resulting in rapidly rising standards of living for the mass of Europeans and providing the basis for a great increase in public welfare. Now, however, we are faced with high unemployment, continuing inflation and slower economic growth.

During the post-war period of industrial expansion, rapid and continuous economic growth came to be taken for granted. Now, the sharp increases in energy prices, the often wasteful use of non-renewable primary resources and the inversion of our terms of trade with other parts of the world have destroyed many of our economic assumptions. Confidence has been further undermined by the current economic crisis.

But the new reality is not always reflected in our behaviour. In our consumption-orientated society there has not been sufficient incentive for the accumulation of savings for investment. At the same time, powerful pressure has continued to be applied in favour of further steady increases in incomes. These demands reflect attitudes and expectations which under present conditions threaten to come into conflict with the needs of society as a whole.

Other weaknesses in the economic and social fabric of our society have become apparent. Growth does not automatically lead to a reduction in economic inequalities: we are discovering areas of real poverty in the midst of our affluent society. High unemployment has frustrated the creativity, skills and ambitions of many of our people. There is a danger of a widening gap between those who work and those who are forced to remain inactive. We are also discovering the limits of our welfare state, both with regard to our economic possibilities and to its potential threat to civil liberties and democracy.

Traditional responses to our new situation have proved largely inadequate. Old « laissez-faire » ideas have encouraged organised labour to use free market conditions to protect its interests, sometimes without taking the needs of society as a whole sufficiently

into account. The collectivist left is totally inconsistent: it continues to argue against the free market whilst many of its spokesmen demand an entirely free market in wages. At the same time, it often adopts the arguments of developing countries against the industrial powers although sweeping claims on behalf of primary producers are in complete contradiction to indiscriminate claims on behalf of the workers in Europe.

We believe that liberal and democratic principles point the way to dynamic economic and social policies capable of tackling our problems effectively. Our proposals stem from our conviction that choice and competition through the price and market mechanisms remain the best means of meeting people's needs. We stand for equality of opportunity for everyone to develop his abilities to the full, and oppose those who would deny them these opportunities in the name of grey egalitarianism.

Economic growth remains necessary to maintain and improve our standard of living, but its concept has to be re-defined against the background of the resources of our planet and the threat which uncontrolled development represents to our environment. What we want is not more of everything, but an improvement in the quality of life, for ourselves as well as for those who will come after us.

The European dimension is an essential element in our vision of how these problems are to be solved. We demand the creation of a European economic and monetary union. In this new and wider context, which also takes into account the need to co-ordinate our economic progress with that of the developing world, our proposals deal with the use of energy resources, the provision of food supplies, the need for genuine employee participation in decision-taking at work, the laying of a greater emphasis on the human scale in business operations and the fair distribution of wealth. We aim at an open society in which co-operation will supersede confrontation and division through full public debate of the issues and full accountability to democratic parliaments. Flexible and democratic planning in which all social and economic forces as well as government and parliament must play their part, can provide a framework of stability which will allow for the dynamic display of entrepreneurial forces to function within a social market economy for the benefit of all.

The political challenge

Europe is undergoing a political crisis as well as an economic recession. People expect more and more care and protection from the social and economic hazards of life by public authorities — but this increase in social security and the resultant lessening of personal, family and community responsibility is matched with an increase of alienation and disillusion. Also, there is a feeling that Parliaments are losing their position as the central authority where the great decisions are taken and conflicting pressures and interests subordinated to the general good. One sees a certain fragmentation of power. In the public domain, the executive branch of government and its ever-growing bureaucracy has taken more and more power; at the same time, extra-parliamentary economic and social forces wield great power in fact if not in law. Thus, our democratic processes are no longer felt to give the citizen his share of real control over important decisions that affect him directly.

This leads to disillusion with the system of government — with politicians, political parties and bureaucrats.

European liberals and democrats believe that decision-taking, and with it responsibility and accountability, should be brought down to the lowest level compatible with the public interest and corresponding to the subject-matter concerned. The supremacy of Parliament and its effective control over government and the bureaucratic machine must be restored and upheld. The various levels of decision-making must be brought as close as possible to the people and its processes made simpler and clearer. Much more has to be done to inform the citizens about the workings of democratic government.

We recognize that many decisions, political as well as economic, have to be taken at the national and increasingly the European level. They must be taken in close co-operation between responsible executives and representative democratic parliaments, after interested groups have been properly consulted, and not by the executive alone or by non-elected interests. Europe needs to develop a modern form of parliamentary democracy adapted to deal with the new economic, social and cultural circumstances and responsive to legitimate demands for participation by the citizens at all appropriate levels.

In the struggle to achieve this, the role of political parties will be crucial. Only they can generate the political will needed to carry out a programme of such magnitude. We, European liberals and democrats, are firmly pledged to play our part.

Europe and the World

Liberals and democrats are internationalists and see the creation of a political union of European states and peoples as a step towards world peace and wider international co-operation. Such a union will enable Europeans to play their full part in a world in which they bear great responsibility. Even to-day's European Community is the largest trading bloc in the world and its action, or lack of it, has a considerable impact on others — for good or ill. This will be true in an even wider sense after the present Community has moved on towards real union.

Many of to-day's major problems are world-wide. We, European liberals and democrats, want a united Europe to make its full contribution towards solving them. By working together and speaking with one voice, also in the United Nations, we Europeans can exert a positive influence in many fields. Our programme seeks to define these and to propose a role for Europe in matters such as world peace and se-

curity, human rights, and development co-operation with the underprivileged of this world. Together with other powers who share our democratic ideals, Europe can play a role in the world of which all its citizens may be proud.

The Role of the European Parliament

We believe in parliamentary democracy as the system best suited to serve the interest of the people. Therefore we attach great importance to the European Parliament. Once it has been directly elected, it must seek to play the vital parliamentary role of exercising control over the Community's executive and bureaucratic machine. It must strive for the re-shaping of our European institutions in order to make them more effective and to provide for more open government. It will also have to be vigilant in defense of individual and collective rights and liberties against possible dangers from government on a large, European scale. And finally, it must become the true centre of European political debate and action. To this end, it should make itself the natural focal point for the development of popular forces organized at European level so that these are no longer established on a solely national scene. Only then will there be a basis for political union and will Europe become a political reality to its citizens. European liberals and democrats will promote the creation of such forces. In particular, they want to see the mass media develop a European dimension. Parliament is an essentially liberal and democratic institution. It is through parliament that our modern democracies have come into being. It is in parliament that the interest of the people as a whole can prevail over the interests and prejudices of groups and classes — that majorities can govern and minority groups provide the necessary counterbalance. The new European Parliament, elected by universal and direct suffrage, must bring these vital parliamentary traditions to bear on the problems of our Community. It must acquire sufficient moral and political strength to become an effective force. It must propose measures which will make the Community evolve towards a true European union. Our aim is a Union able to speak with one voice in world affairs whilst respecting and protecting the particular characteristics of our nations and regions. Our aim is unity in diversity.

This great task provides an ideal challenge for liberals and democrats. We are ready to meet it. That we may the better do so, we ask for your support.

1. Human and civil rights

1. Liberal democracy is based on the belief that every individual citizen has fundamental rights and that the supreme task of government must be to recognize and guarantee the rights and freedoms of the individual as laid down in particular in the Universal Declaration of Human Rights, and to promote the full enjoyment of these rights and freedoms.

a. The Universal Declaration of Human Rights (1948) and the two UN Conventions on Human Rights (1966) should be considered as inseparably linked with this programme. All Member States of the Community should ratify the two UN Conventions on Human Rights of 1966 and the Additional Protocol which includes the individual right of petition.

b. The rights and freedoms of the individual include not only the « traditional » human rights and basic liberties as defined in the European Convention, adopted by the member governments of the Council of Europe in 1950. Liberals also believe firmly in the necessity to guarantee and defend the rights to have personal property subject to using it in a socially responsible way, to have access to education and to participate in free elections.

c. Moreover every individual is entitled to adequate protection against misuse of political or economic power and against social deprivation.

d. All these human, civil, economic and social rights ought to be the philosophical and legal foundation common to the Member States of the European Union.

2. The European Union and its Member States are therefore called upon

— to strive together with the other members of the family of democratic countries, for the implementation of human and civil rights, throughout the world,

— to safeguard the full respect of human and civil rights in all legislative and administrative actions of the European Union,

— to guarantee, protect and promote human and civil rights within Member States by their own measures and, if necessary, by joint action.

a. The fundamental rights of the individual should be safeguarded and promoted within the European Union and its Member States as well as by the foreign policy of the Union. International action of the Union in favour of human rights will be limited by its commitment to peaceful means.

b. It is, however, essential that any Member State of the Union and any country applying for membership base their internal order on the

full acceptance of liberal and democratic values.

c. At the same time, the European Union itself, in its relations with all individual citizens, must respect and apply the same values.

3. The Liberal and Democratic parties in the European Community call for the first directly elected European Parliament to draw up immediately a Declaration of the Union on Basic Human and Civil Rights to be ratified by the Member States. This Declaration should include the rights to life, which presupposes the abolition of the death penalty. Moreover, the State should apply criminal law — the most extreme instrument of power and the one which most radically affects citizens — only where it is necessary for the protection of the legal assets of the individual, for the defence of the constitutional state and for the preservation of an environment fit for human beings.

a. As we said, this Declaration should include not only the « traditional » human rights and basic liberties as defined in the European Convention of Human Rights, but also those of its additional protocols and the European Social Charter.

b. The right to life is the most fundamental human right. Therefore there are no circumstances in which the state may use its power to deprive a person of life as a penal sanction.

c. The state has the right to use the full sanctions of the law only within narrow limits where it is necessary for the protection of the legal aspects of the individual, for the defence of the Constitutional state and for the preservation of an environment fit for human beings.

d. The Declaration should include among others:

- the guarantee of the right of personal property, subject to using it in a socially responsible way,
- guidelines to protect the citizen against misuse of power and against social deprivation,
- the right of conscientious objection to compulsory military service,
- the right of asylum for victims of political persecution,
- the protection against any violation of privacy arising from the abuse of information stored in data-processing machines or other electronic devices.

e. The Declaration should serve as a basis for decisions of the European Union's Institutions and as a guideline for Member States. The European Union will have to develop and agree sanctions to be taken against Member States which violate the Declaration.

4. Every citizen and resident of the Member States should be guaranteed the right to seek remedy before the European Court in Luxembourg against any legislative or administrative act promulgated or executed by the European Union's Institutions which violated individual rights as set down in the European Declaration on Basic Human Rights and Fundamental Freedoms.
 - a. At present, the European Court in Luxembourg established by the EEC Treaty (Articles 164-188) is not expressly empowered to decide upon possible violations of human and civil rights by the authorities of the European Community. Such violations can only be dealt with at national level.
 - b. In future, the European Community must itself safeguard its citizens and all other residents against any legislative or administrative act of its bodies which could infringe upon their basic rights and liberties. Therefore not only is a Declaration of Human and Civil Rights urgently needed but the powers of the European Court will have to be extended.
5. All Member States of the European Union are urged to ratify and implement the European Convention on Human Rights in its entirety, to take steps in order to further improve the Convention and to accept the European Social Charter.
 - a. All Member States should accept a mandatory right of individual petition against legislative or administrative action of authorities within Member States to the European Human Rights Commission and the ultimate jurisdiction in such cases of the European Court of Human Rights. In order to make it easier for individuals to secure this right, procedures will have to be simplified and legal aid made available to any petitioner. A commission of experts should be established by the Council of Europe to develop specific proposals.
 - b. This commission should also examine possible measures to increase protection of generally accepted human rights which are at present not adequately safeguarded by the Convention.
 - c. The European Social Charter should be accepted by all member governments in order to establish common minimum standards for their social policy.
6. At the same time, the European Union should accede to the same Convention and thereby accept the ultimate jurisdiction of the European Human Rights Commission and of the European Court of Human Rights at Strasbourg.
 - a. In the field of human rights, as elsewhere, the European Union should cooperate as closely as possible with the Council of Europe. This should allow all member countries of the Council of Europe and of the European Union itself to develop a common approach to these matters.
 - b. The best way of achieving this objective will be to establish the two bodies safeguarding individual rights and civil liberties throughout Western Europe, namely the Human Rights Commission and the Human Rights Court at Strasbourg, as the ultimate authority to which every citizen may appeal in cases not only against individual Member States of the Coun-

cil of Europe but also against the European Union. Full protection will then be given to any European citizen regardless of which authority, national or European, threatens or violate his rights.

- c. Responsibility for these initiatives rests clearly with the first directly elected European Parliament based on the mandate given to it by voters throughout the Community.
7. The Liberals and Democrats call for the creation of an European passport Union and the introduction of a European passport which must also be recognized outside the European Union.
 - a. There is a lack of everyday's Europe. The citizen of the Community has not got a symbol which shows him in his daily life the presence of the Community. This is one of the reasons the Liberals call for a European passport.
 - b. Apart from this political reason a European passport Union would be an expression of the growing integration of the Member States. The recognition of this passport outside the European Union shows the growing acknowledgement of the European Community by the rest of the world.
8. The Liberal and Democratic Parties of the European Community believe that all citizens of the Member States should have the right to vote in and stand for elections to local councils in their place of residence. In the long term they believe that such citizens should have the right to vote in all public elections in the country where they live.

The right to vote in, and to stand as a candidate in all public elections, under rules which guarantee free participation and fair representation of all political forces is a fundamental right of all citizens. When the European Union is established, citizens of any Member State should be able to exercise that right at their current place of residence in elections to all levels of government. Immediately, citizens of one state, resident in another should be able to influence their local living conditions in host countries by exercising full civil and political rights at local elections.

II. European Institutions

1. The European Institutions must be given enough authority to enable them to perform their Community tasks successfully and to provide a more effective framework for the growing unity between our countries. They must be democratic so that they can serve the citizens of Europe and stimulate further development in accordance with the wishes of all its peoples.
 - a. In the Europe of today, the nation state alone is no longer able to guarantee the freedom, security and well-being of its citizens. Only by joining together can this be achieved. In so doing, our nations and peoples will create a United Europe through which our political, economic, social and cultural life can be revitalized.
 - b. The European Community was set up for the purpose of starting and encouraging the development of this process. If it is to succeed, its institutions need to have adequate

powers and be prepared to use them. We must end the practice of delaying or paralysing decision-making within institutions while simultaneously reproaching the Community for not solving our problems.

- c. In the liberal view, the European Community must safeguard its existing diversity of nations, particularly in the field of government and administration. We wish to preserve the cultural and national diversity which is a characteristic of our European civilisation. Neither do we want to be governed by a European bureaucracy or technocracy — the institutions must grow and function democratically. The European citizens, whose interests the Community is designed to serve, must feel involved in its existence and actually be involved in it, not only indirectly through their national parliaments and governments, but also directly as free citizens of the Community.
 - d. Since we do not want Europe to develop into a super-state governed by an all-powerful centralized bureaucracy, we liberals do not advocate a single European « capital » in which all the administrative authorities of the Community must be concentrated. We find it salutary and in accordance with the nature of our European society that Community bodies should be established in many Member States. But this must not go so far that the functioning of the European Institutions suffers — those which are closely and permanently involved in the political decision-making process need to be established close enough together to be able to function properly.
2. The Community's existing institutional structure is a good starting point for further development. The important thing is to define the responsibilities of the various Institutions in such a way as to achieve the correct balance while strengthening the inner driving force needed to maintain the impetus towards integration. This must be done in such a way that action is taken on the basis of treaties to expand gradually the areas at present falling within the Community's competence.
- a. At present the powers of the European Community are shared by four institutions, each representing a different function. There is an independent body whose task it is both to be the motive force behind the integration process and the guardian of Treaty obligations: the **Commission**. The Governments of the Member States as such work together in the **Council of Ministers**. The representatives of the peoples of the states brought together in the Community form the **European Parliament**. The correct application of Community law is ensured through the **European Court of Justice**.
 - b. Liberals accept this division of functions. As we said earlier, a united Europe cannot be a super-state based on the predominance of specific countries, population groups or ideologies. Real unity cannot be achieved through submission or domination — it can only be realised in harmony and balance. Such a balance must also exist between the various institutions. No institution should be absolutely dominant since each represents a vital element

in the integration process. A system of « checks and balances » is needed to ensure that all institutions play their rightful part in the Community decision-making process. At the same time we must strengthen the inner driving force without which the decision-making process becomes paralysed.

- c. In recent years, the Member States have started cooperating outside the areas covered by the Treaties, particularly in the field of foreign policy. We welcome this as a step in the right direction. We would like to see areas of policy not yet covered by the Treaties gradually brought within the Community's competence so as to become part eventually of the general competence of the European Union we seek to develop.
3. The present distribution of powers between the various Institutions is out of balance — the Council has become too dominant. What is urgently needed is the correct application of the Treaties in the spirit intended by their authors and particularly the « implementation of the majority principle for votes in the Council of Ministers and a strengthening of the roles of the Commission and of Parliament.
- a. Under the Treaties, the Council occupies a very powerful position — it has the last word on most of the important decisions. But the Treaties also contain elements of balance, particularly between the Commission and the Council. For example, the Council can, in a number of specific cases, take a majority vote and it can modify Commission proposals only under certain circumstances.
 - b. In practice, these opportunities are virtually never used. Decisions are not taken unless unanimity is reached in the Council and the Commission is expected to keep on modifying, adapting, and watering down its proposals until they stand a chance of being adopted unanimously by the Council.
 - c. We have also seen the beginning of periodic consultation between governments of the Member States at the highest level: the « European Council ». Together with the development of consultation in fields outside the Treaties, such as foreign policy, this shows how great is the need for European Union. However, such consultations should not hamper the normal decision-making process within the Community. The proper role of the European Council is to meet when necessary in order to provide, inter alia, for joint action in fields currently outside the Treaties, and to give fresh impetus towards European Union.
 - d. We Liberals want the decision-making process to be improved with a better balance of powers to be established between the different institutions. The first requirement here is for the Treaties to be applied correctly :
 - in those cases provided for in the Treaties, the Council should take its decisions on the basis of a majority vote;
 - the Commission should use to the full its independence as established in the Treaties, seeking where necessary the Parliament's prior support for its proposals, and not allowing itself to be treated as a subsidiary body of the Council.

e. At the same time, further steps must be taken to strengthen Parliament and therefore the Commission, which is politically responsible to Parliament and does not depend exclusively on the Council:

- Parliament should be given a real say in the appointment of Commissioners so as to emphasize clearly the political nature of the Commission and its independence of the Member States;
- Parliament's budgetary powers must be further increased eventually to include the whole Community budget;
- Parliament should be given powers of ratification for Treaties concluded between the Community as such and third countries;
- in accordance with the intention formulated at the Conference of heads of state or government in Paris in 1974, Parliament should be given powers of co-decision in matters relating to Community legislation, including the *« de jure »* right of initiative.

f. Finally we welcome the decision to set up a European Court of Auditors since strict control needs to be exercised over the management of Community finances. At the moment, Parliament is only consulted on the appointment of the members of the Court of Auditors. We want Parliament to have a more effective say in the matter.

4. The forthcoming elections are a milestone in the further development of Community Institutions. For the first time, its citizens are to be directly involved in the process leading up to European Union. The greater weight and authority deriving from direct elections should spur the new Parliament to claim its rightful place with greater force.

These first elections will still be organized on a national basis. It will be the task of the newly-elected Parliament to devise a genuinely European electoral system which will guarantee fair representation to each of the political forces in the countries of the Community. In this respect, the adoption of a system based on proportional representation is indispensable.

a. Since the Community was created the peoples of the Member States have been held, as it were, in quarantine. They have only been able to bring their influence to bear indirectly through their national governments and parliaments. That has now changed. The citizens of Europe have *« come of age »* and will directly elect those who will speak for them in the European Parliament. The Parliament will thus be able to fight even more vigorously for a better distribution of powers between the institutions of the Community and for a rightful position for the peoples' elected representatives. This in itself is a compelling reason for participation in the elections. A massive turnout of voters will prove that they have understood their rights as European citizens and wish to use these rights to the full.

b. In the liberal view, the first elected Parliament will, in addition to the functions carried out under the Treaties by the earlier Parliament, have a number of tasks of its own to accomplish over the five years of its mandate, including:

- the devising of a European electoral system based on the principle of proportional representation;
- continuing its efforts to achieve a better and fairer distribution of powers between the Council, the Commission and Parliament;
- to insist on rational decisions concerning the location of Community institutions and services so that they can function more effectively;
- the drawing up of a Declaration of Human and Civil Rights of the European citizen, to be respected both by the institutions of the Community and by the authorities of Member States;
- the drawing up of a draft Treaty setting up a European Union, in itself a task of historic importance to liberals and democrats.

5. We Liberals want a European Union of free citizens, a Union within which national, regional and local powers of decision-making are placed in the context of the new European dimension and thereby are given added significance. Its internal task will be to complete the Community process of integration and unification, on the twin foundations of liberal democracy and human rights. In the world at large, it must stand for the principles on which it itself is founded — peace, freedom, individual responsibility and social justice. In this way, it will be able to play a role in the world of which every European citizen may be proud.

a. Liberals believe that, in a democratic society, decisions should be taken at the appropriate level. The extremes of excessive centralization and too great a dispersal of authority should both be avoided. We want to see this principle applied to Europe. The European Union must only deal with questions which it is in the interests of us all should be its concern.

b. There are a number of areas where this is obviously the case, such as foreign relations and security, development cooperation, respect for human rights, the achievement of economic and monetary union, the fight against unemployment and inflation, the development of trade, industry and transport, agriculture and food supplies, energy supplies, social policy, environmental protection, and certain Community aspects of educational policy. All these questions are dealt with in other sections of this programme.

c. As far as possible European Union policy should be implemented through the intermediary of the Member States. In areas which do not, or not yet, lend themselves to common action, the Union's function will be to see to it that Member States do not pursue policies that are incompatible with or duplicate each other.

d. Healthy regional development is of great importance for the European Union. To this end, regional bodies must be strengthened where necessary and, at the same time, given the opportunity to play their part in formulating those aspects of Union policy which are of direct concern to them.

6. The institutions of the Union should be the logical continuation and conclusion of the development that we advocate. Capacity to reach deci-

sions has to go hand in hand with plurality, fair distribution of powers and « checks and balances ».

We must not look upon the Union as the reincarnation of the nation state on a European scale. The bringing together of our nations in a European Union is a unique event and this will be reflected in the original, undogmatic nature of its institutional structure, which we see, in outline, as follows :

- The legislative and budgetary powers in the Union shall be exercised in close collaboration by a directly-elected **Parliament** and a **Council of States**, in which the Member States as such are represented. They shall deliberate on the basis of proposals from the European Government, or on their own initiative. Where there is disagreement between the Parliament and the Council of States, there will have to be a conciliation procedure between the Government, Parliament and the Council of States to prepare compromise proposals to be submitted to Parliament and Council.
- The members of the **European Government** shall be proposed by the Council and their appointment ratified by Parliament. The term of office of the Government shall be the same as that of the Parliament.

- The **European Court of Justice** shall supervise the correct application of Community law including citizens' fundamental rights. Its members shall be appointed by the European Government by a joint proposal from Parliament and Council.
- The **European Court of Auditors** shall ensure the legitimate and careful management of Union expenditure. Its members shall be appointed by the European Government by a joint proposal from Parliament and Council.
- The **Economic and Social Committee** shall remain, as hitherto, the organ whereby the major economic and social organizations are officially associated with the decision-making process within the Union. Its powers will only be advisory since it must not encroach upon the responsibility of the Government, Parliament, and the Council.
- The **European government** will replace the Commission and the **Council of States** the present Council of Ministers.

This is our view of the kind of European Union we want and the institutions with which it should be provided. It will be the great task of the elected Parliament to draw up a Treaty to this effect and to press for its speedy ratification by all Member States.

III. Social policy

1. Liberals believe in both individual and social responsibility.

The society we build must provide job opportunities and improve further education and training facilities for all its citizens, irrespective of social position, means, sex and ideological, philosophical or religious differences. Appropriate forms of worker participation and industrial democracy must provide a further basis for exercising social responsibility, enabling people to shape their own lives and provide for their dependants. Self-reliance on the part of the individual, however, does not mean a neutral or negative attitude on the part of society. Collectively society must take care of those who are unable or no longer able to play their part in the economic process.

2. Liberal social security policy guarantees freedom and security and safeguards individual rights, by providing the means of living that individuals cannot provide for themselves.

- a. Liberals who have contributed so much to the introduction and development of social security and other forms of assistance, believe in a collective responsibility for the well-being of all members of society. Normally, it should be possible for those of working age and available for work to make provision for themselves and their dependants. Social security should therefore be primarily concerned with those who are not in a position to do just that.
- b. Help and guarantee of a reasonable income for those who are unemployed, or disabled, for the sick or the elderly, as well as for certain minority groups with special needs, is fundamental to a liberal social security policy.
- c. However, overambitious plans and the construction of a top-heavy bureaucratic and expensive social security system has endangered these very goals. Individual participation and responsibility should be stressed in the methods by which the social security system is financed and any further extension should be linked to economic growth. This is particularly important since current economic conditions have caused extensive structural unemployment, which makes a growing demand on the social security system. We must give the highest priority to the fight against rising unemployment.
- d. For this reason the costs of social security must be recognised as burdens to both private and collective budgets. If the burdens are too great

they may have anti-social effects in preventing new investment or economic initiatives and thereby aggravate unemployment.

- e. Social security policy, as such, or the management of its funds, should not be used as an instrument to transfer too much power from the individual to either governments or trade-unions.

- f. In general we should keep a balance between necessary social security measures and the costs thereof, as well as between the power of those who dispense such funds and those who administer them.

3. In a Liberal and Democratic society the individual will be defended against any abuse of great social, economic or political power. This must include the protection of those without collectively organised power and hence the influence to defend their interests through negotiation. It is our duty to defend the common interest of all citizens and the responsibility of parliament therein.

- a. In a democratic society neither social and economic groups nor political authorities should occupy such dominant positions as to endanger individual freedom. Governments should seek to protect individuals against excessively wide-ranging powers of trade-unions. Neither trade-unions through their enormous collective bargaining strength nor employers organisations should exercise their great powers without the check of public accountability.

- b. The development towards wages- and industrial settlements through tripartite conferences (employees-employers-government) may help to avoid open conflicts, though the last word should be left to parliament. The Social and Economic Committee should remain the most important advisory institution as far as European economic and social policy is concerned.

- c. The European Parliament should acquire co-decision-making powers on Community legislation in this field, in order to guarantee that the common interest as well as the views of the social partners are taken into account and given fair consideration.

4. Equality of opportunity for all individuals to develop themselves to the maximum of their abilities is essential to a Liberal and Democratic society, as opposed to societies who deny that equality in the name of egalitarianism.

- a. We adhere to the principle that all human beings are equal as of right. This means equal opportunities and possibilities for each to develop to the best of his abilities, without claiming an equal end result.

- b. From a Liberal point of view a social policy need not envisage a centralized social structure, but a pluralist society in which people enjoy in their various communities all the social benefits they choose as best for themselves.
5. Unemployment among young people represents a serious problem for the development of our society. A European policy to eliminate unemployment among the young is therefore of prime importance. The Liberals and Democrats believe it essential that young people should receive competent professional training permitting them to undertake productive activities. The nature of training must be modified in such a way as to make young people flexible so that they can continue the training process in the course of their lives.
- In general terms the Liberals should pursue the traditional objective of full employment through reasonable growth using the familiar means of economic policy.
 - As regards to the labour market, we must promote the reform and harmonisation at European level of the rules governing the placement of the unemployed by ensuring that the individual initiative and the desire to succeed are duly rewarded. This requires the abolition of measures or protection of job divisions which often are themselves harmful to the young.
 - Priority must be given to the questions of training and professional qualification. In view of the fact that young people frequently reject manual jobs or the concept of job mobility, the Liberals' programme should aim to reevaluate these two aspects, rewarding formative experience (further education), upgrading certain professions and making possible real social mobility.
 - Young people are increasing their demands for state intervention: the Liberals are against new aid programmes of little use, but want to introduce training and reform facilities aimed at restoring young people's confidence in their ability to shape their own future.
6. To stimulate the commitment of young people to the creation of a European Union a Community youth policy is of major importance. It must aim at helping young people find their proper place in our society.
- The Europe we stand for, must be close to its people. Europe must be a living reality, especially to young people, for they are the ones on whom future developments of the process of European integration will depend. The Institutions of the Community therefore have to elaborate a comprehensive youth policy and should allow young people to let their voice be heard in the decision-making-process. To this end, we should encourage not only international cooperation between youth organisations, but also the activities of already existing international youth organisations. The Community should develop facilities for exchange programmes between the Member States.
7. Liberals and Democrats demand a redistribution of roles between men and women. Both attitudes and legislation must be changed in order that women, who have long been the objects of discrimination, should obtain the equality to which they are entitled. The beneficial result for society as a whole would be a redistribution of roles between men and women in the sense of a sharing of responsibility between equal partners. More specifically Liberals therefore demand:
- that the rights and responsibilities of marriage both as regards the care of children and domestic duties be shared between husband and wife. This should include establishing possibilities for parttime work for men;
 - free family planning counselling and contraceptive facilities, also legislation to render abortions legal in certain clearly defined circumstances with safeguards to prevent medical personnel being compelled to take part in procedures to which they have a conscientious objection;
 - that traditional attitudes, to sex roles be changed mainly by education;
 - legislation against discrimination on the grounds of sex, including some procedure for appeal;
 - elimination of discriminatory articles in existing laws and public agreements for men and women equally;
 - revision of all legislation, particularly in the fields of equal opportunities, social security, property and taxation in accordance with the principle that every man and woman is a fully responsible individual.
8. Liberalism itself is based on the ideas of fighting for peoples rights either as individuals or as minorities, therefore it has most to offer the minorities of Europe, both because we believe in the rights and welfare of all people and because we desire a free and diverse society.
- We have a unique view of Europe's many minorities. Liberalism has grown to promote broad political principles which apply to all members of society, and because of those liberal principles became the special champion of those who suffered any unfair discrimination. We still see minorities in Western Europe who do not always receive fair and equal treatment either in law or in the practice of public authorities.
 - Wherever European Community policies or practices impinge on the rights or welfare of people who belong to minority groups, Liberals and Democrats will be vigilant on their behalf. We do not only regard this protection as a major duty; we value the contribution which minorities can make to the diversity and richness of society.
 - At the other hand, especially because we value individual freedom more than anything else, we do not want the legislative tasks of the European Union go beyond the actual protection of one's individual rights and proscribe or regulate all kinds of alternative life styles, which should remain everyone's private responsibility.
9. The European Union should have a common consumer protection policy. The main aims of this policy should be the right of:
- protection of health and safety
 - protection of economic interests
 - redress
 - complete information
 - representation.
- In accordance with the aims of the European Economic Community consumer protection is

important to maintain the principles of market-organisation, competition regulation and the protection of the individual in order to maximise welfare in disposing of income. The Community should accept the Charter of Consumer Protection as adopted by the Council of Europe in 1973. The first directly elected European Parliament should take the initiative that a European Food and Drug Act will be introduced.

10. We stand for the right of employees to participate in the responsibility for the running, stability and development of the enterprise in which they work and to acquire a financial interest therein.

- In a free society every employee has to be given the opportunity to participate in decisions about and the development of his working place.
- The establishment of works councils and similar mechanisms as instruments for representation, cooperation and the development of employees' rights and responsibilities should be promoted.
- Equally employers and management should acknowledge the rights of employees as well as shareholders to participate in the main policy decisions which may influence the future of their enterprise.
- Boards of companies should be established in such a way that employees and shareholders are fully taken into account. European company law should be based on this principle.
- A proper way of representation of the management staff, who have a different form of responsibility, should also be found.

11. The European measures of social security developed at Community level should be more than a simple addition to national systems. They should develop a distinct role of their own, especially in the structural field. We believe, however, that social policy should never become an exclusive Community policy, since the major task of the Community is better harmonisation of the different social security systems within it.

- We approve of the Commission's policy of combining the agricultural, regional and social funds as a coordinated instrument of structural change.
- Greater harmonisation in order to diminish differences between social systems should be pursued, taking full account of local, regional and national circumstances and recognising the existence of a pluralistic society. Common policy aims in this area do not require the establishment of a uniform system throughout Europe, but national systems can be helped on the European level if agreement could be reached not to take any measures which increase existing differences between Member States.
- Health policy is closely linked with housing- and working-conditions and the achievements of the Community social fund in this field should be pursued and extended.

12. The European Community should assure throughout its area the freedom of movement of its citizens, whatever their occupation. It must have special care and responsibility for those who are working outside their own country, for both citizens of Community countries and migrant workers who come to work from outside the Community.

- Although it is possible for every citizen of the

European Community to move freely within it, there are still many practical impediments to free settlement and the free exercise of professional activities everywhere, such as non recognition of qualifications and work permits.

- Migrant workers, either from one of the Community countries, or from elsewhere are often at a disadvantage compared with those who live and work in their country of origin. This is especially the case as far as social security is concerned. Migrant workers and others should be able to move within the Community without losing their original benefits and be certain that they will be able to receive social security payments, and welfare benefits when these expire, wherever they settle.

- Apart from this migrant workers often do not have a vote, have less job security and suffer from a continuous handicap because of language and other cultural background factors. Special provision should be made for education of those from other than the European background. This should be geared to practical knowledge useful as well in their society, in case they want to return to their country of origin.

IV. Cultural policy

1. The right to education is one of the most basic rights. Liberals have pioneered and always fought for it. Everyone should have access to education throughout his life.

- We regard the right to education as essential to enable individuals to develop themselves to the best of their abilities. Access to education must not be limited by class, sex, means, local environment or other social backgrounds. Tolerance and respect for cultural identity should be encouraged through education.
- A key idea of our educational policy is that education is not only for the school years, but should be a permanent process. This is necessary in view of the rapid changes occurring in society. Through lifelong education everybody, especially those who did not have the means or were not sufficiently motivated to learn when they were young, can be given further possibilities to acquire new skills and develop their personalities. This principle should be the guidance of the European Community's role in education.
- The Liberals insist that able and deserving persons who lack the necessary means should be guaranteed the right of access to the highest level of education. Also it should be recognised that all students have the right to attend the universities of the various countries without restriction.

2. A Community educational policy should stimulate citizens' appreciation of and interest in their fellow European cultures and encourage educational innovation.

- Educational policy should remain under the control of national and or regional authorities. We want a European educational policy to support and stimulate the activities of these authorities, not only in order to promote a diversity of cultural identities, but also in order to promote a better understanding among citizens of the various cultures in Europe.
- Throughout the Community, minority languages and cultural diversities must be respected; we are in favour of a multilingual Community.

We wish to see widespread study of European cultures and languages at university and in school, as well as greater facilities for international cooperation and exchange. Television and radio broadcasts should be an important means of cultural exchange between European countries; the Liberal and Democratic parties of the European Community call for cooperation between radio and television authorities in the Member States.

- c. Universities should not only be an important centre for the protection and study of the particular culture of the region in which they are situated, but also provide a stimulus for local development.

Liberals also stress the more pervasive role that ought to be assumed by common universities and cultural institutions such as the European University of Florence and the College of Europe at Bruges.

3. European educational and training policies should encourage greater association between the various national systems.

- a. We favour a far greater mobility between the existing national and/or regional educational systems, so that students and scholars are given more possibilities to spend some time studying in another European country. In this context, equivalence of certificates and diplomas must be pursued. Moreover, it is essential to introduce consistent policy towards the recognition of professional and educational qualifications. The right to use occupational qualifications throughout the Community must not be restricted by national rules.
- b. Liberals will encourage greater flexibility and mobility in and between educational systems so as to provide increased scope for the reciprocal recognition of educational qualifications throughout the Community.

4. The Liberals and Democrats call for the creation of a European Sports Council consisting of the competent members of the governments of the Member States and of representatives of the central bodies of national sports organisations.

Active involvement in sports is of great importance to the well-being of the European people. In our societies where leisure-time is steadily increasing, governments more and more recognise their responsibility for stimulating and coordinating the activities of sports organisations at the European level and the mutual consultation concerning sports between the governments of the EC must be coordinated, so as to ensure a more effective cooperation at the European level.

v. Environmental policy

1. It is essential to have a Community policy for the environment, to ensure that it develops in accord with liberal principles and enables citizens of Member States to enjoy the highest possible quality of life. This calls for harmonious interaction between man and his environment and between the various components of this environment.

- a. The main objective of Liberal and Democratic policy is to create and maintain an environment in which men and women can live with dignity and pleasure, fulfill their potential, exercise their responsibilities and satisfy their

basic needs. The policy must also guarantee future generations the best possible quality of life and we must in today's decisions restrict as little as possible the future freedom of choice that is essential to existence.

- b. Special European environmental action programmes and, where possible, minimum European environmental quality standards that are binding on the Community as a whole should be implemented. These standards should also help to combat any distortion of competition between Member States resulting from the application of differing environmental standards within the Community.

2. The European environmental policy should pay particular attention to the need to combat and prevent transfrontier environmental pollution.

- a. Environmental pollution does not stop at national frontiers, but often adversely affects the quality of the environment in several countries. Only if the problem is tackled at the European level can effective measures be taken against transfrontier water, air and soil pollution.
- b. The European lakes and coastal waters are particularly important as a source of food. Short-term measures must be taken to ensure that the environment is adequately administered and that fish-stocks are protected. High priority must also be given to the proper control of surface water in terms of public health and environmental hygiene.
- c. The Liberals advocate the rapid ratification of international agreements to limit water pollution, especially those on the Rhine river and the Baltic and Mediterranean Seas. They also attach great importance to more intensive and permanent cooperation between national and European Parliaments and the Council of Europe Assembly with the aim to control the effectiveness of these agreements.

3. Environmental protection takes priority over the profit motive. Those who cause pollution should pay to repair the damage.

Profits as traditionally calculated do very seldom allow for the costs to the Community and to future generations of the pollution which many manufacturing and extractive processes involve. Liberals and Democrats believe therefore, even in the present difficult economic circumstances in the gradual but final enforcement of the principle that - the polluter pays. Often, however, in those cases where the single polluter is not traceable the Community should be responsible to contain the damage and repair it.

4. One of the great riches of the Community is the diversity of Europe's natural, historical, architectural and cultural heritage.

- a. The historical evolution of our civilization has created numerous towns and city centres with an architectural and social heritage which must be restored or preserved and protected from urban development which can lead to their decay or wholesale clearance.
- b. Liberal and democratic policy also seeks to reconcile the protection of our cultural heritage with economic pressures and the need for growth.
- c. The demand for higher standards of living does not justify a uniform culture or lifestyle given the monotony that such uniformity implies.

- d. The fauna and flora of Europe are a vital element of Europe's natural heritage and many species are threatened by economic, industrial and social needs and wholesale hunting. Future social and economic planning should take account of the need to preserve endangered flora and fauna.
5. Thinking about our economic future should incorporate social and ecological factors. Growth cannot be an end in itself. Technology must remain the means and not the end. Economic decisions must be assessed on the basis of their effect on the environment.
- We support Community efforts to develop common solutions to our problems. Liberals and Democrats are convinced that the god of rapid and irrational economic growth must be rejected. Massive centralisation, because it always leads to an impersonal approach, is a major obstacle to maintaining the essential spirit of the peoples of the Community.
 - The liberal and democratic approach to environmental problems is designed to improve the living conditions of every citizen, since we are always concerned to protect the rights of the individual. This approach is better placed than others to meet the real needs of the citizen.
6. The lack of a real policy for developing energy resources in the past has meant that today we have to rely more and more on nuclear power, and this presents a real danger to humanity. We must find an answer without resorting to extreme solutions that are usually determined by passion instead of reason.
- We give priority to the more efficient use of conventional energy sources, strict economy in the use of energy and much greater efforts to find new sources of energy, as well as continuing research into nuclear fusion — the use of which would overcome many of the disadvantages in the design of present nuclear power plants. We accept that we have to use nuclear energy but only when there is no possible alternative. We repeat our view that present and future generations should have adequate protection against the risks associated with present nuclear power plants. It is essential that the institutions of the Community should arrange for detailed consultation on the siting of future nuclear power plants, where it is proposed to build nuclear power plants near the borders of Member States, the relevant local authorities of neighbouring countries should take part in these consultations.
7. Farming methods are the main influence on the natural environment and we must recognise and encourage those methods which retain an ecological balance — if necessary by financial incentives. Community forestry policy must also recognise this objective.
- The role of agriculture is explained elsewhere. In order to establish farming and forestry methods which retain an ecological balance, a Community budget must be prepared and coordinated with action by Member States and at regional level.
8. Every citizen must be allowed his say in determining the quality of life, and to do this he should be kept fully informed. Each generation must recognise its responsibility in laying the foundations for the quality of life for succeeding generations.
- In order to keep everyone fully informed, all the data needed for the evaluation of the environment, together with statistical and economic data, should be collected and made available. This will help plan the future and ensure that consumers are consulted at all levels.
9. A Community environment policy must include the power to intervene in cases of potential danger. In these circumstances the Community must be able to activate the powers of various bodies set up to intervene politically, administratively and financially. We need joint European procedures for approving infrastructure projects and regional planning proposals which concern several Member States. The Community should also formulate Community-wide minimum standards of quality.
- Technological developments can lead to the introduction of industrial processes which can cause hazards to citizens of other Member States.
 - Pollution knows no frontiers. The Community must formulate measures to combat pollution and these will only become fully effective if they are incorporated into national legislation in the spirit of the Treaty of Rome.
 - Increasingly, major development and infrastructure projects can have important repercussions on the environment and living conditions in neighbouring Member States. It is essential that all communities whose future and living conditions are directly affected by such projects should participate fully in the approval procedures.
 - The Community should draw up joint legislation to protect citizens who are exposed to cross-frontier pollution.
10. Worldwide cooperation is needed to develop universal protection of the environment.
- Recent discussions on the «Limits to growth» has shown how much the long-term survival of mankind depends on maintaining the right ecological balance and developing world-wide cooperation. The Community must take the lead in this, and in the search for solutions which could improve the quality of life in the Third World, since human dignity requires that all people are guaranteed minimum living standards.
11. Worldwide cooperation must be in the form of an international code for the environment binding on everyone. Developing countries must be encouraged to work out their own growth strategy within this code.
- Our civilised society has been achieved through sustained effort, sacrifices and investment. There have been mistakes along the way often due to an inadequate appreciation of the effects of technology. It would be wrong for developing countries to follow the same path. We must provide a balanced research and development effort matched to their resources. It is essential as they develop that they respect minimum environmental requirements and do not upset agreements which have, in some cases, been established through considerable effort. The Community should take the lead among industrialised countries in proposing and drawing up an international environmental code that takes full account of the

needs of developing countries and the development needs of the rest of the world.

VI. Regional policy

1. We consider an effective regional policy to be an essential part of the European Union we are seeking to create. But we recognise the complexity of needs and aspirations which characterise the many different regions of Europe.

a. The European Community is not just composed of nine (or in future more) Member-States and of hundreds of millions of European people. Within it there are areas of people with a common consciousness or common problems, which are designated by the term regions. The European Community will become fully meaningful to all its people and develop the unity and strength which lead to full political Union, if its institutions take account of the reality of these regions and Community policies offer them real benefits.

b. We are acutely conscious of the variety of Europe's regions. Indeed the very term « region » covers many different situations some of which are found together but none of which are found in every region — the area with a distinctive culture, even a consciousness of a separate national identity; the national minority with cultural links across a frontier; the area suffering from overdependence on declining agricultural employment; or the area which is too reliant on a particular industry; the peripheral zones of larger countries; the special cases of islands and mountain areas; and natural geographical regions which are bisected by a historic frontier: in setting out a liberal view of regional policy in this programme, we are conscious of the dangers inherent in generalising about the variety of these circumstances.

c. Responsiveness to this variety and complexity is part and parcel of the correct approach to Europe's regions. If our concept of a European Union is to succeed, it must not merely cater for, but offer positive advantages to regions in all these various senses.

2. Decentralisation of political power is a fundamental principle of the structure of government and of regional policy.

Liberals believe that, as long as it is compatible with an effective and democratic structure of government, decisions should be taken as close to people as possible. This both maximises opportunities for people to participate in the decision-making process, and ensures that it is the citizens resident in each area who have the opportunity to adjust local policies to their local conditions. Where Member States already have a democratic regional level of government, we believe that the Community's regional policy should take due account of it. In other countries, if such a democratic regional level of government is desired, the sort of European Union that we envisage will make this easier to achieve.

3. Europe's cultural diversity is its true character and its strength.

We treasure and respect the historic development of many different languages, of regional variations in the main languages, of local patterns of life and of culture? There are trends in modern

society towards bigness and uniformity which threaten this heritage. We recognise that the demand for an improved standard of living cannot be refused in the name of preservation of the past. Nonetheless, we believe that there should be a common concern to maintain this richness of our cultural heritage, and especially for the linguistic diversity within the Community, we hope to see a growing European consciousness that this very diversity is a precious and essential element of being European. All Community policies — political, economic and cultural — should take account of this objective.

4. European Union offers a new chance to many regions in Europe.

The historical framework for European government and society was that of the nation-state. At one time the nation-states had a real role to play, but they have often impeded full development at regional level. As history shows some regions with a distinctive culture have been obliged by the rigidity of the nation-state either to conform to the national culture of that state or to set up an opposition which becomes national as well as cultural and which ultimately may imply separation. There are also areas where people with a common history and culture or economic links have become separated by political boundaries; and, once again, the remedy which the nation-state has historically comprehended is the extreme one of redrawing the boundary. The joining together of nation-states in the Community has reduced some of these problems. Our concept of a European Union will allow all these regions to find a fulfilment which is compatible with belonging to a larger grouping. The Union will have the necessary powers to safeguard and promote equality of opportunity for all its citizens and so to assist particularly those living in poorer regions; but at the same time the principle of decentralisation can ensure responsibility at regional level for the cultural matters which are so vital to the character of each region.

5. Within a European Union all areas must have true equality of opportunity — this should be a high priority.

Genuine union, and true freedom of movement of people, is not possible unless people have a similar opportunity to acquire employment and to earn the same level of income throughout the area of the Union. However existing differences between the richest and the poorest regions of the Community are not only substantial; they have been increasing over the last few years. This is fundamentally unjust. It also leads to other problems, such as the migration from deprived areas — from economic necessity rather than a genuine desire of people to move — with the consequent congestion of some urban centres. In addition such massive inequalities are a major obstacle to the monetary union which must be a key element in political union.

6. We recognise the particular problems of those regions which are peripheral in the area of the European Community.

In several of the member countries, there is already a growing problem of the disparity of wealth and opportunities between the main metropolitan core area and the main peripheral regions. Many of these regions are overdependent on primary production or on older manu-

facturing industries or on both; employment in all these sectors is declining. Modernisation of the economy has stimulated the growth of the service sector. All too often the benefits of this modernisation have been heavily concentrated in the metropolitan areas, while the peripheral ones have paid a price in outward migration, poorer public facilities and lower wage-levels.

There is justified fear that European integration will produce a similar problem in the whole economical area of the Community. Monetary union in particular, which is desirable on other grounds, could well make the situation worse. We must not allow the benefits of integration to be unduly concentrated in the central areas of the Community.

The Community's peripheral regions have a common interest in policies which will promote a fairer sharing of these benefits. The Federation of Liberal and Democratic Parties will take the lead in promoting such policies and representing the interests of the peripheral regions. We do not see this as being in opposition to the true interests of the central areas, but rather an essential part of the integration which should bring benefits to every part of the Community.

7. Present Community regional policy is unsatisfactory — the Community must have the means to advance regional policies throughout the Community.

National governments should not be permitted to reduce their own financial aid to regions because of EEC aid.

- a. The present European Regional Development Fund (ERDF) has very limited financial resources. The Community must acquire sufficient means, and sufficient freedom of action, to give the Regional Fund real powers to assist less well-endowed regions.
- b. Community assistance to regional development should not be limited to the ERDF. The Community should examine the general balance between regions and the regional distribution of investments. This general balanced approach should be pursued by the coordination of policies in all sectors. Individual policies should not include objectives which contradict the principal objective of the development of peripheral and other needy regions.
- c. All policies of the Community which involve expenditure should be accompanied by an estimate of their regional effects, indicating the extent to which they promote equality of opportunities. This will allow us to judge how far decisions in fields other than regional policy are promoting or removing regional inequalities and to take corrective action where possible. There is a particular need to monitor the regional effects of the common agricultural policy and of the social fund and to co-ordinate them with the objectives of regional policy.
- d. We regret that not all governments have operated the transmission of projects to the ERDF in the spirit of a Community regional policy which is additional to existing national government policies. The principle of additionality must be fully observed.

8. Regional authorities should have direct access to all Community Institutions for the exchange of information and mutual consultation.

- a. There must be direct communications between the Commission and other Community Institutions and regional authorities to exchange information and ensure adequate consultation.
- b. In any future development of the European Institutions there must be appropriate channels for representation of regional interests.

9. Steps must be taken to achieve effective coordination of regional economic policies, transport policies, energy policies, regional planning and landscape conservation measures by means of transfrontier institutional and administrative integration. The Community should have a special concern for cooperation between frontier regions.

- a. Trans-frontier associations should be encouraged and allowed to have an organised access to Community Institutions.
- b. Community decisions, regulations and directives should take account of trans-frontier problems.
- c. Procedures for organising hearings on both sides of the Community's internal frontiers must be introduced where local planning projects affect people living on both sides. Projects which present a hazard to the environment should only be permitted by a common accord of the authorities concerned.

10. The Community Institutions should pay increasing attention to the major questions of regional planning; there is a need for a judicious balance in regional structure-plans between different sectors of employment, communications, use of available land and cooperation between regions, particularly in dealing with ecological effects across frontiers.

Land is scarce throughout Western Europe and planning decisions about its use often have widespread ramifications across frontiers. When regional structure-plans are drawn up, attention should be paid to the effects on nearby regions (which are often on the other side of a frontier) of decisions about the location and type of employment communications and the zoning of land. The Community's Institutions should keep in touch with those making such decisions and ensure appropriate co-operation.

11. The Liberals and Democrats call for the abolition of administrative restrictions at the internal frontiers of the Community. Within the European Community people should immediately be able to move freely and without hindrance through out its territory. Frontier formalities should be abolished so as to make the Community a visible reality to the millions of travellers crossing its internal borders every day.

- a. In its concern with bureaucratic rules and procedures, the Community has not paid sufficient attention to the ordinary citizen. Although we have a Customs Union, frontier posts have by no means disappeared; new and more modern ones are even being erected. Thus, travelling from one member country to another is still considered as "going abroad" and the European Community remains a bureaucratic abstraction.

- b. It is high time for people to stop thinking in terms of going to a foreign country when crossing a border between Member States. This can easily be achieved through the abolition of frontier formalities, which in any case have become impossible to enforce in practice. For the ordinary traveller, the traditional sign « Frontier-Customs » should be replaced by a simple indication of the country he is about to enter.
- c. In this way, the citizens of the European Community would become much more conscious of the new European dimension their environment has acquired. Similarly, non-Community citizens, once having entered Community territory, would enjoy the same freedom of movement for as long as they remained within its borders.

12. The Community policy should not discourage regional coherence extending beyond the frontiers of the European Union. On the contrary, it should promote such coherence.

While most of the outer boundary of the European Union, particularly after enlargement, will consist of the most natural boundary — the sea coastline, there will always be some areas where the local historic, cultural and economic interests of people within the Union are closely bound up with those of a neighbouring region outside it. The special needs of such areas must be recognised, and care taken that policies designed to promote equality of opportunity throughout the Union do not hinder their particular interests, even where these look away from the rest of the Union.

VII. Principles of economic policy

1. The main objectives of our modern economic and monetary policy are to ensure steady and balanced growth and the restoration and safeguarding of full employment. As well due accent should be given to the quality of life and to the interests of the consumer and not only to quantitative figures.

This policy thus should create the conditions for the effective social protection of all citizens in the vicissitudes of life. The present situation, with relative shortage and correspondingly high cost of energy, raw materials and foodstuffs and with increasing conflicts between minorities, social groups and regions, the achievement of these objectives becomes more difficult. These factors lead also to a growing tendency of injustice, parasitism and to the development of greater privileges and poverty, which distort the working of a free and modern market economy, thereby endangering the maintenance of an open and pluralistic society. To counter these dangers the Liberals and Democrats believe we have to rely on both the dynamism of private enterprise and the overall democratic management of the economy through flexible planning in which the social partners should participate and including guidelines on prices and wages. Moreover Liberals and Democrats take the view that a democracy confined to matters of the state is not sufficient. They therefore call for a system of maximum and equal participation of all citizens in the decisions concerning the division of tasks in the economic field.

- a. Liberals do not consider growth as an end in itself or just as means for some to grow rich. They believe that growth, not only in quality but in quantity is currently necessary in order to meet widespread and justified demands for better standards of living, social security and for the protection of the consumer with improved public services; to respond to the pace of technological development and the need for new productive investment; to take account of changes in the age-structure of the population which means that a higher proportion will be dependent on resources produced by others; to meet developments associated with the need for a distribution of wealth; to protect the environment.
- b. Both the dynamism of private enterprise and the overall guidance of the economy by government, including guidelines on prices and wages, are necessary to ensure economic growth. Liberals see private property, freedom of enterprise, and profit within the framework of a modern and socially responsive market economy as the main means for maximum production. This is in the in-

terest of all citizens (especially those in need) if the Community is to save sufficient resources and direct some of it towards a better distribution of wealth. Free competition in a free market economy must be developed and safeguarded against monopolies, cartels and excessive influence of public enterprises; private enterprises must be given sufficient freedom to play their role in democracy and progress. Public intervention in the economy (including fiscal policy) is needed to ensure fair competition and to take adequate account of social and economic circumstances.

The shortage and higher price of energy and of many raw materials and foods, which has led to worse terms of trade for the industrial free world, means we must concentrate more on conservation measures and technological research and development. We must also try and prevent any resultant social pressures from distorting the relationship between the costs of production and selling price in the open market. Overall guidance of the economy through flexible planning must recognise the interplay between short, medium and longer term economic and social needs.

- c. With savage deflation and mass unemployment unacceptable as instruments for economic control, we must use guidelines on prices and wages, often formalised in a "social agreement". Resistance to these guidelines reflects the obsolete mentality of class-warfare and an out-of-date commitment to laissez-faire attitudes which we cannot support. Equally, however, liberals cannot accept the other extreme of a detailed and rigid plan imposed on the economy and the people by political means. We oppose such authoritarian practices whether they come from the left or right.
- d. For this reason Liberals and Democrats attach considerable importance to regular consultation between the European authorities, the national governments, trade-unions and employers organisations. These consultations should take place both directly and within existing or new Economic and Social Councils. Final responsibility must rest squarely on Parliament as the political centre which seeks to balance national interests as well as the interests of the consumers, of weaker groups and regions.
- e. Liberals and Democrats take the lead of those who are concerned with the general interest in contrast to those who are the prey of class interests, be they nationalists or conservatives on the right or marxists on the left.

2. Our aim is the redistribution of wealth in Europe.

The demands for the redistribution of wealth develop from a growing impatience with excessive differences not just between individuals but also in

level of income and in the economic and social circumstances within different countries of Europe and in the Community as a whole. Satisfying these demands must not endanger the working of a market economy and pluralistic society. Nonetheless, within these limits, the meeting of these demands is a real moral and political objective as well as a necessary condition for balanced growth.

3. We also aim to redistribute wealth in the world.

Redistribution of wealth must also apply throughout the world, and needs a balanced and coherent development policy. We must recognise the needs of the less developed countries and the real capacity of both the industrialised and the oil-producing countries. The massive and sudden increases in oil prices and present and probable rises for other raw materials and food have drastically altered the terms of trade between the two groups of countries. An even greater change has taken place in the economic relations between oil-producing and the poorer less-developed areas. Growth is needed everywhere to allow different members of the world community to adapt to such changes without excessive sacrifices or dislocations which could lead to social unrest or threaten world peace.

4. The structural changes in industry which are the inevitable product of technological progress create problems which require a concerted approach at Community level. Policies to deal with these problems may require selective public intervention but this must aim to create viable enterprises in competitive market conditions. Liberals cannot accept that public money should be pumped into industries, whether old or new, with no hope of economic viability.

The structure of industrial production within the EC countries is often affected by the accelerated technical innovation. This demands extraordinary and quicker depreciation of old installations and more and quicker investment as well. Next to that technical progress, as the sudden accumulation of wealth in the oil producing countries demands the growing presence in these countries of new industries in certain sectors. These changes sometimes causes serious difficulties of adaptation of established methods and industries in the old industrialised countries, resulting in considerable tension, socially as well as in the fields of economy and finance. Public intervention, nationally as of the Community, is growing in view of these imminent crises to which the individuals cannot respond on themselves alone. Liberals and Democrats see the need for public intervention, as well in the social field. But they cannot accept that public money should be pumped into industries, whether old or new, with no hope of developing in sound economic conditions even not in world-wide aspects. Therefore they demand that interventions will be coordinated and controlled more and more on the Community level.

5. We consider the fight against unemployment of fundamental importance for the preservation of democratic liberties. Full employment throughout the EEC remains our ultimate objective, but we recognise that technological developments and increasing competition from countries outside the Community constitute serious handicaps. The creation of new and the expansion of existing industries and enterprises must be actively pursued in the Community in order to reduce structural unemployment and to provide work, especially for the young.

A wide and persistent unemployment would make the preservation of a free, just and democratic society very difficult. It would provoke social unrest that could endanger a Community controlled by free institutions and create a feeling of alienation of individuals and families, in a psychological situation of diminishing hopes and permanent uncertainty. These dangers can only be resolved by an intelligent expansion of the productive capacities, on the presumption of competitive capacity on a world-wide basis which is one of the basic elements of the E.C. Autarchy would make problems worse and in the long-run unsolvable. Expansion would need a very careful distribution of means between public spending, investment and consumption, as it needs high resources, and in order to avoid the inevitable risks of inflation and recession. Once more Liberals want to confirm the need of flexible planning, to be decided more and more at Community level, by coordinating national initiatives or by new initiatives of the Community Institutions.

6. The aims of economic and social policy in Europe can no longer be achieved at national level: political and economic unification are complementary.

The problems faced by the nations of Europe in adapting to the growing needs and the changing conditions of their peoples and in the world are too great for them to meet these tasks on their own. This is equally true of other major issues starting with international relations, security and the need to make a major contribution to balanced and peaceful world development. This is why there is a fundamental relation between developments in political and economic union. Liberals believe that the one is not possible without the other.

VIII. Economic and monetary union

1. We need an Economic and Monetary Union - EMU. Only with EMU can the Member States of the European Community overcome together the economic and social crisis that they all share. This means a determined effort to achieve parallel economic development in all community countries, and to achieve economic integration in the widest sense of the term.

a. A steady and balanced economic growth is possible only in an area much larger than any individual country of Europe, i.e. in the European Community as at present constituted and with any welcome accession of other democratic nations. A common market for goods, services and capital, with a population of over 250 million allows economies of scale, the rationalisation of production and economic allocation of resources which is not possible with smaller areas. We can only take full advantage of this large area if we can establish a common currency throughout the Community. This also requires a close integration of national, budgetary, economic and social policies. Without this integration the stresses caused by great differing rates of expansion or inflation, of stagnation, recession or deflation, of employment and unemployment, and hence of the monetary and fiscal policies applied by different Member States would make the creation and maintenance of a common currency unrealistic. Beyond certain limits even the continuation of the great achievement of establishing a free market

within the Community would be in jeopardy. EMU is therefore essential to achieve our objectives.

- b. Without EMU, Europeans could look forward to producing the resources needed to provide a more equal distribution of wealth at both national and European levels as well as in the world. Failure to achieve EMU in the medium and longer term would therefore have disastrous consequences. Liberals emphasise that this is a central fact in the contemporary worldwide scene.

2. Progress towards EMU requires strengthening of the revenue-raising role of the Community.

Under the Treaty of Rome, an increasing proportion of Community finances will derive from Value Added Tax (VAT) together with agricultural levies and import duties on goods from outside the Community. We seek a uniform basis of assessment for VAT with a harmonisation of coverage and rates whilst keeping VAT on staple foods as low as possible. This will eliminate what are, in effect, tax barriers to internal trade and the need for customs posts within the Community. At the same time, the number of different rates of VAT should be progressively reduced.

3. Progress towards EMU requires strengthening of the role of the Community in sharing revenues but we emphasize the need for thrift in Community expenditure.

The main objective must be the progressive reduction of economic differences between nations and regions. Although certain institutions for sharing revenue already exist (the Regional Fund, the Social Fund, the European Investment Bank and the Agricultural Guidance Fund) they must be strengthened and expanded and take full account of the needs and demands of regional and local government. In their different ways, all these institutions must contribute to the redistribution of wealth within the Community, and among its constituent parts in a more coherent way.

4. Progress towards EMU means that the Community must increase its responsibilities towards the Third World.

We must consider strengthening the European Development Fund, or the alternative of setting up of an agency (similar to those just mentioned) to develop a joint Community policy towards the less developed countries. Any policy must have external direction and be consistent with national policies. We think it most important to develop formal cooperation with a large number of underdeveloped countries under the Lomé Convention and to develop an all-embracing approach to non-member countries in the Mediterranean.

5. Progress towards EMU requires new initiatives and new ways of developing Community policy and expenditure in other areas where there is a clear need for an extended role of the Community budget and parliamentary powers in this field.

We believe there is a case for developing new ways of policy making and joint action eg. in environmental protection, especially pollution, and increased use of joint research projects. Policies for industry, transport and agriculture should be coordinated with regional policy. We need a more detailed structure for continual medium-term planning in order to integrate Community expenditure programmes and harness them to the task of reducing national and regional inequalities. However, the creation of new development programmes and the expansion of

existing ones means major chances to the Community budget. This must be linked with a corresponding increase in the influence and powers of the European Parliament. Finally the Commission of the E.C. should also be able to negotiate loans on the capital market within limits to be set by the Council and the European Parliament.

6. Progress towards EMU requires new arrangements in monetary affairs;

- the maintenance of flexible exchange rates until the introduction of a standard European currency;
- an increase in the powers of the European Monetary Fund and the gradual pooling of the currency reserves;
- an increase in reciprocal credits conditional on greater cooperation;
- the introduction of a European currency in parallel with national currencies.

A common European currency is not possible until full economic integration (including effective regional and social policies) is achieved together with full political union. We must not attempt to set it up in advance in the hope that it could take the place of integration since this would certainly end in disaster. Similarly the lack of a world monetary order increases the danger. Much needs to be done in the meantime and we propose four steps.

1) Limits on the exchange rates for each national currency.

The Community should agree to establish, for each country, limits within which each country would try and keep the rate of exchange for its national currency. If economic and social forces made the limits unworkable countries would be free to change them. But changes should be kept to a minimum and not be made without previous consultation with the rest of the Community. Agreed limits on exchange rates would allow greater flexibility than fixed, though adjustable, exchange rates and make consultation easier.

2) Pooling of currency reserves.

Community members should agree to pool part of their currency reserves. The pool should be held by the proposed European Monetary Fund, working closely with the Community and the central banks of Community countries. This would form the nucleus of an exchange stabilisation fund and could eventually develop into a fully independent central monetary authority responsible for the control of money supply throughout the Community.

3) Reciprocal credits

The present system of mutual short, medium, and long-term credits, between the countries of the Community should be expanded but continue to be conditional on close cooperation in the economic, financial and monetary field. Coordination of budgets, of economic policies, of monetary, employment and anti-inflation policies cannot be divorced from one another or from moves for setting-up of community monetary institutions. Guidelines in matters of social policy and their relation to productivity, working conditions and the participation of workers in the running of enterprises, must also be included.

4) The introduction of a European currency in parity »).

We support the proposal to establish a « parallel currency » in the Community, which could be called a « florin ». One « florin » should correspond to one unit of account based on an agreed basket of Community currencies as defined i.e. in the Lomé Convention. This would protect it from major and sudden changes in value in any individual currencies. The general use of the « florin » would not be compulsory. In the beginning it would be used in the settlement of accounts between the Community and the Member States, for the Community budget, for contributions to the Third World and in related activities. Later on, it could be issued in large denominations for use between central banks, large commercial banks, financial organisations and intra-European enterprises. The issue would take place under the control of the European Monetary Fund, either as a counterpart to the reserves pooled in the E.M.F. (and in this case the « florin » would represent a kind of European « drawing rights ») or against national currencies, such as the US-dollar or the Yen. If, as is likely, the market responded favourably to the initiative, the use of the « florin » could be gradually extended to smaller transactions, to the payment of taxes, the issue of bonds, the settlement of commercial debts etc. within Europe or between Europe and other parts of the world. The balance between the holding of « florins » and of national currencies would be assured by the interest differentials which would naturally arise between deposits or loans in « florins » and those in stronger or weaker currencies. Without replacing national currencies, the « parallel currency » would in time accustom the European and international markets to the practical use of a common European currency. Each national government within the Community would be encouraged, for reasons of prestige and level of national interest rates, to work for stability between its own currency and the « florin ». This would represent considerable progress, towards harmonisation and eventual integration of economic, financial and monetary policies leading to a common currency and full EMU.

7. The Community should « speak with one voice » to the world in economic and monetary affairs.

One the goal of full political and economic union is reached, the Community would act as one in its external economic relations. Even before this is achieved much can be done towards « speaking with one voice ». Great efforts must be taken to coordinate national attitudes in the Community on world economic and monetary affairs. Success in this will depend on the progress made towards harmonisation of policies within the Community and will itself assist further harmonisation. We have already stressed the importance of the Lomé Convention, the united approach in the Mediterranean and the North-South dialogue. Much must also be done in East-West relations and in the crucial fields of cooperation with the International Monetary Fund, the World Bank, the United States and the other major industrialised free countries, on trade, development and world monetary policies.

8. An attempt should be made to achieve further progress towards EMU in particular in connection with the harmonisation of competition, economic affairs, taxation, finance, currency matters and social policy.

The realisation of EMU is essential if we are to protect the existing achievements of the Community.

Further progress towards EMU is essential : — it means increased harmonisation of national policies in economic, financial and monetary matters. Without this progress the potential conflicts which already exist, and are reflected by balance of payments difficulties between Member States, could lead countries to adopt nationalist and protectionist policies which would be a setback to the liberalisation of capital movements —; to the customs union and a common external tariff and trade policy; to the continuation and development of the CAP and towards coordination of foreign policies and united action in key areas of world policy eg. relations with Eastern Europe and the Third world.

ix. Energy policy

1. The energy policy of the European Community can determine the nature of the society in which we and future generations will live. It should not only guarantee greater independence with respect to our energy supplies but it should also ensure that present and future generations are exposed neither to environmental pollution nor to any situation in which peace is threatened as a result of the spread of dangerous technologies. The contribution of nuclear energy will have to be examined. Our scientific knowledge about nuclear energy will have to be broadened and more research into alternative sources of energy is needed. Liberals and Democrats believe the Community has a key role to play in this area. We intend to secure the Community's energy supplies in order to enable it to face challenges of the future.

- a. The EEC has to import approximately 60 p.c. of its energy, mostly oil and natural gas. Dependence on imports of these basic raw materials could lead to economic and political dependence as well. Europe may be forced to pay a higher price for energy and spend a larger part of its income and currency resources on energy supplies.
- b. The problems of nuclear energy are of the greatest importance to all citizens, particularly in view of the consequences of any decision for the future. It is therefore essential that the public be kept fully of the situation and possible developments. The public will thus be able to discuss the problems connected with the growth of energy demand in relation to the needs and to the available sources of energy.
- c. It is an illusion to believe that Europe will ever achieve independence in the field of energy — at least not in the foreseeable future. Indeed the Community has only limited reserves of oil and natural gas, in particular in offshore areas where there are considerable production difficulties. Coal production even if stimulated, and even if it should again become profitable as a result of further increases of the price of oil cannot by itself constitute a solution for our energy problems. Coal can only be expected to be a useful supplementary source of energy.
- d. Nuclear power plants could provide a certain degree of independence to Europe but doubts remain about their effect on the environment as

well as about the future availability of fissionable material. This question will be dealt with in paragraph 7.

- e. Possible new sources of energy are still in the research and development stage and they may not be able to meet increased demand in the coming decades. Nonetheless, research efforts into these new sources must be encouraged.
 - f. It seems important to have a clear idea of the size of available oil and natural gas reserves. The United States, the world's largest consumer of energy, is already discovering the inconvenience of natural gas shortages and American consumers have become serious competitors for the remaining energy supplies in the world.
2. The sharp increase in energy prices together with the limited availability of energy resources represent a challenge which can jeopardize our prosperity and our well-being. We should strive to supply all consumers with a sufficient quantity of energy at reasonable prices. Rational planning to secure optimum utilization of the energy available to us will be necessary. As it will not be possible to maintain fully the free choice of energy options available in the past, competition in the use of the various energy sources will to a certain extent be weakened. It is the task of the liberal policy to avert any undesirable economic development which might thereby ensue.
- a. There is a direct link between rising energy prices and the rate of inflation.
 - b. Rising energy prices threaten the competitive position of all European countries depending on large imports of energy with resulting social and economic effects.
 - c. It is therefore necessary to use energy more efficiently and avoid superfluous energy conversion processes.
 - d. The optimum level of energy prices should take into account environmental and generating costs as well as primary production costs. The price should be fixed at a level that permits a fair choice between different forms of energy on condition of a rational use.
3. Liberals and Democrats feel that too great a concentration of power over energy supplies, whether in public or private hands, is dangerous, because of economic, bureaucratic and political implications. Competition must be maintained between the various sources of energy supplies.
- a. We believe it is in the interest of the people of the Community to allow private industry to play an important part as competitors in the field of energy, because of the considerable investment risk-capital required to secure future supplies, because of the world-wide nature of this activity and because of the need to maintain plurality of access to the sources of energy.
 - b. Public authorities can play an active role in the field of energy by promoting the search for new energy supplies and in general, by operating an energy policy compatible with the interests of industrial consumers as well as of the individual citizen. The objective must be at all times to secure access to sufficient energy supplies.
4. Liberals and Democrats are concerned about the consequences of the energy crisis for the present generation. The energy requirement of future generations could be in jeopardy unless agreement is reached at once on measures to secure continued supplies.
- a. Energy consumption during the last century, but particularly during the last decades, has a tendency to rise steadily. There has been a growing demand for oil and natural gas, two sources of energy for which a danger of rapid exhaustion of reserves is a distinct possibility. The combination of alternative supplies, energy conservation and greater efficiency in production and usage constitutes the answer to our future energy needs.
 - b. National governments and the Community should formulate and apply a policy providing not only for research but also for the most effective and rational use of existing sources of energy.
 - c. Natural gas and oil are very valuable raw materials for the future development of the petrochemical and other industries. Any waste of these hydrocarbons could deprive later generations of possibilities of valuable resources and must therefore be avoided.
5. Joint action in the field of energy is essential within the Community. Harmonious relations with other countries must be established and maintained, whether they are consumers or producers, taking into account the worldwide political and economic implications of energy problems.
- a. Permanent coordination between the EEC and major energy producers and consumers is essential. The risk of fierce competition between the industrial countries for the remaining sources of energy as well as unjustified increases of energy prices could endanger the very foundations of democracy.
 - b. We can no longer rely on cheap energy, especially as demand will tend to increase and available resources will become scarcer. On this basis we must reformulate the Community's economic policy and, in particular, establish a European investments policy to finance new sources of energy.
 - c. The sudden increase in the price of energy constitutes a serious threat to the economies of the Third World countries not fortunate enough to have their own energy resources. Europe should extend assistance to these countries.
 - d. During negotiations with developing nations aimed at reaching a settlement on raw material problems, Europe should propose ways of developing alternative sources of energy to countries where these are real possibilities.
6. Community energy policy should strive for the most rational use of existing resources. The main objective must be to reduce Europe's dependence on outside supply. It is essential that we achieve a better use of energy supplies through improved insulation of buildings and the use of more economical techniques. Adequate information is a priority requirement in this field. An important contribution is the war on waste, which yields savings that will not affect the standard of living.
- a. Because of growing world demand, energy like other raw materials, is becoming a very valuable commodity. So far, higher prices have had a limited influence on levels of consumption. Nevertheless pricing policy must be an element of energy conservation policy. The economy must adjust itself still further and reduce its energy requirements in order to preserve energy supplies.
 - b. We can reduce dependence on overseas energy suppliers by increasing Community production of

oil, natural gas and coal; however their rate of extraction must be governed by national and Community conservation goals. For coal we need a long-term programme aimed at greater profitability of the mining industry through the development of new techniques. Taking into account the environmental effects, imports and consumption of coal should be encouraged to reduce our dependence on oil.

- c. Prospecting for oil and natural gas in the North Sea and other parts of the European continental shelf should be encouraged by the Community in particular by stimulating the development of new research and production techniques.
- d. Given the importance of the necessary investment for research, extraction and production of hydrocarbons from the North Sea all safeguards should be given to private investment in order to secure a certain degree of energy supply and some protection against unforeseen events for the Community.
- e. Maintaining the present standard of living will require growing quantities of energy. Since we want all regions of the Community to share in the growth of prosperity our energy needs will remain considerably in the future.

7. Liberals and Democrats believe energy from nuclear fission can provide a necessary, but temporary answer to the growing demand for energy. Yet, it is dangerous and for the moment too unpredictable as an alternative to cover future power requirements. We are fully aware of the problems connected with the spread of nuclear power. All available know-how should be utilized in a research programme, aiming on the one hand, to solve the problems involving the reprocessing of radio-active waste, on the other hand, the development of alternative energy sources, including forms of nuclear energy which are completely safe and not detrimental to the environment. Meantime though, authorization to build new nuclear power stations in individual Member States of the E.C. is irresponsible unless arrangements are made in the Member States concerned for:

- the safe disposal of highly active waste;
 - safe and technically sound intermediate storage.
- Liberals and Democrats do not call for the existing nuclear power stations to be closed down.

Because of the uncertainty surrounding future energy consumption and the development of alternative energy sources, we would reserve the right to opt at a later stage for nuclear energy to cover residual demand without committing ourselves irrevocably to this policy at the present stage.

- a. New sources of energy may be unable to meet the increased demand for energy before the turn of the century. Future economic growth will be matched by increased energy consumption in spite of possible savings of energy and of a more rational use. The further development of nuclear technology may be inevitable, in order to prevent too rapid a decline of oil and gas reserves.
- b. Democrats cannot ignore the reaction of public opinion to proposals to construct new nuclear power stations. Greater openness and more information to the public about the Community's energy policy is essential. Ecological and environmental factors must be taken into account when planning new nuclear power stations and reprocessing plants, as well as the need to dispose of nuclear waste material in acceptable conditions.

- c. Where the building of new nuclear power stations in the Community is necessary, this requires prior consultation and agreement among Member States in order to eliminate the dangers resulting from an over-concentration of these installations in specific areas, in particular in adjacent areas of the respective member countries. Agreements among Community members can contribute to a more equal distribution of nuclear power stations. Community standards with the European Parliament participating in the decision-making procedure, must be set for security, location and other key matters.

- d. Disposal of nuclear waste remains one of the most pressing problems related to the use of nuclear energy. Research in this particular field needs to be stimulated in close cooperation with other democratic countries outside the E.C. Nuclear waste because of radiation hazards, but also because of its use in the manufacture of lethal weapons, requires extreme vigilance on the part of all Member States of the Community. Until this waste material can be disposed of in a fully safe way, measures are needed with respect to its storage and transportation. Dumping nuclear waste in the ocean could present serious hazards for the future.

8. The Community policy on raw materials other than energy sources should primarily aim at diversifying the present sources of raw material supply by improved exploitation of the earth's surface, the economical use of raw materials and the recovery of raw materials from waste and other products.

- a. With consumption of several raw materials at peak level there is a real possibility in the near future that valuable raw materials could become scarcer, creating new problems for the industrialised and developing countries. The Community must take it upon itself to look ahead. Fighting waste will be a prerequisite of any such policy. This would not necessarily reduce revenue for the producing countries since most raw materials have a tendency to become more expensive.
- b. In close connection with the search for new sources of energy efforts must be made to locate areas where raw materials needed for industry can be found. This could prove to be very helpful for a number of countries where development has been slow because of the lack of valuable resources.

x. Small and medium-sized businesses

1. Because of their productivity and their effect on employment, small and medium-sized undertakings are a vital element in the economic life of the Member States of the European Communities.

- a. Despite the growth of multi-national companies and financial conglomerates, large enterprises are only a part of the economy. Businesses of all sizes are a characteristic of advanced industrial countries where small and medium-sized enterprises are most active in developing new economic activities.
- d. In addition to playing a key role in manufacturing industry small and medium-sized businesses play a vital role in the service including re-

tailoring, finance, credit, professional consultancy, transport and other general services. In some sectors the small and medium-sized company is dominant. In these fields, as in manufacturing, the strength of the small and medium-sized businesses is their speed of reaction and flexibility which allows them to adapt more rapidly to market forces and adopt technical innovations as well as more quickly changing their organisation and levels of production. In short, this gives them the opportunity to have the edge over the big corporations in the continuously creative process which is essential to a highly developed society.

- c. In fact, industrial concentration beyond a certain level can be counterproductive. This is the reason why some large holding companies are organised with central finance but with production in smaller, flexible, units.

2. We are deeply convinced of the need to promote the development of small and medium-sized businesses for both political and economic reasons. They guarantee an active market, economic pluralism and the presence of independent economic forces; they are free from the bureaucratic practices of state-owned industries and the general tendency to bureaucracy of large companies. Small and medium-sized businesses produce trained people in management and skilled people for the workforce; in fighting unemployment they develop better human relationships; they are essential for the spread of economic power which is linked with the spread of political power. They are an essential element of the social free market economy which is the basic aim of the Federation of Liberal and Democratic Parties of the E.C.

Medium-sized companies are more exposed to the market, more flexible and more efficient. They contribute to maintain the free market, the efficiency of the economic system and its independence from the state. Deals between large multinational companies and governments have two adverse consequences which we resolutely oppose. The first is economic — the largest companies may obtain benefits at the expense of the community. The second is political — the combination of economic power with political and administrative influence can determine a threat to democracy.

3. Liberals and Democrats demand the implementation of a programme to aid small and medium-sized businesses in the Community. The main points of this programme should be:

- a. coordination of national policies;
- b. development of Economic and Monetary Union;
- c. proper application of the rules of competition;
- d. harmonized, more flexible and simplified taxation policy;
- e. credit measures to counteract the disadvantages involved in financing small and medium-sized undertakings;
- f. adjustment of certain aspects of social policy to reflect the economic situation of small and medium-sized companies;
- g. promotion of training and protection of entrepreneurs;
- h. easier access to research; encouragement of joint research by small and medium-sized firms;
- i. harmonization and development of appropriate company law;
- j. promotion of exports by small and medium-sized firms both within and outside the Community;

- k. invitations to tender which do not close markets to small and medium-sized undertakings.

- a. We favour full exchange of information and experience of measures taken by the Member States to help smaller businesses. Coordination of information will indicate possible initiatives that can be taken to help small and medium-sized businesses. All Community measures must take full account of the interests of the small and medium-sized businesses, these being particularly true of the regional policy. In order to achieve optimum efficiency in this integration process at Community level a Commissioner should be made responsible for this integration. The departmental infrastructure must be suitably reorganised. There should be proportional representation of the small and medium-sized businesses in the Economic and Social Committee and other Community bodies.

- b. Differences between national economic plans can lead to clear distortions in competition (often national measures to help industry are often not in line with the provisions of the Treaty of Rome). The Commission should harmonize these plans and seek the integration of national policies. As part of its economic proposals the Commission should put forward clear options which reflect the needs of small and medium-sized businesses.

Monetary stability is essential for the survival of smaller businesses because they can no longer sustain the financial losses resulting from successive fluctuations in exchange rates.

- c. As guardian of the Treaty, the Commission must ensure that the rules of competition pursuant to Articles 85 and 86 of the Treaty of Rome (EEC) are applied. The Commission must inform small and medium-sized businesses of the types of cooperation which it allows.

- d. National arrangements for value added tax, profits taxes, income taxes, industrial taxation and inheritance taxes must be harmonized to make them more flexible, to encourage enterprise and new businesses.

The Commission should also propose a simplified system of tax collection.

- e. Information and experience of national practices which provide finance for smaller businesses, should be brought together as an essential step towards harmonisation of credit policies at Community level.

Community financial intervention through the European Social Fund, the European Regional Development Fund, financial aid from the European Coal and Steel Community and the European Investment Bank must be coordinated and strengthened. Large enterprise have proved that they can easily gain access to these Community sources of finance, but the same does not apply to the smaller businesses. Information about these sources of finance should be made more widely available so that it reaches small and medium-sized companies as well as the larger production units. The Commission should make concrete proposals for the rationalization of financial aid and preferential treatment for smaller businesses.

- f. More than any other type of enterprise, small and medium-sized businesses guarantee stability of employment. However, while providing stability during recession they also have to carry steadily increasing costs for social security. The Commis-

sion must take account of this in the implementation of the Social Action programme and should ask the Member States to carry out selective policies in their financing of social security costs.

- g. Management of small and medium-sized businesses requires a variety of skills. Legislation should provide for professional training for those who run small and medium-sized businesses and make such training easily available, in similar ways as has long been provided for employees. The Commission should give the selfemployed access to the European Social Fund and provide specific opportunities through the European Centre for Vocational Training.
- h. Small and medium-sized businesses have limited funds for research, and frequently company budgets cannot allow capital to be tied up in research. Some Member States have awarded « research contracts » to assist innovation in smaller businesses. Small and medium-sized businesses should be encouraged to make agreements for jointly supported research so that they can benefit from industrial innovation. This must be encouraged. Community financing institutions should make access to research facilities easier and encourage joint research agreements for smaller business.
- i. The legal framework for business activity varies very considerably from one Member State to another. If this situation continues it risks penalizing the businesses of one Member State compared with the Community as a whole. There must be greater exchange of experience between Member States and standard conditions for the operation of businesses must be developed.
- j. Common commercial policy should serve the interests of small and medium-sized businesses by giving the easier access to markets and providing adequate cover for the risks involved in major export operations.

xi. Transport policy

A European transport policy should be drawn up with harmonisation of conditions of competition leading to a free market in goods transport.

Protectionist measures and varying systems of financing transport applied by the member states limit the advantages of a common market. The development of a coherent transport policy is a necessary accompaniment to the achievement of an economic union; good transport links between the more populated areas of the community and the more peripheral regions are particularly necessary.

Despite the adoption by the European Parliament of a proposal for an overall approach to transport policy in September 1974, the Council of Ministers has only adopted unco-ordinated decisions in this field and in particular has failed to implement article 75 of the EEC treaty.

xii. Agricultural policy

1. An agricultural policy providing for sufficient food production fulfills one of mankind's basic needs. In doing so a liberal agricultural policy will at the same time ensure humane conditions of working and living in the country. It is therefore not only concerned with the technical and commercial problems

of agricultural production, but has to be seen in the context of social, environmental and regional policy. It is part of an overall policy combining all these aspects into one.

- a. Without adequate food man cannot enjoy freedom. The importance of food means that there must be a clear policy for agriculture. This policy should ensure at least a basic supply from Europe's own farmers. Liberals, however, emphasize this policy in the context of others, especially social, environmental and regional policies, because of the importance of the resultant overall policy for the conditions of working and living in the country and hence for good production itself.
 - b. In the long run a guaranteed supply of a large range of quality farming products at reasonable prices can only be assured if living and working conditions in agriculture progressively improve. Therefore structural policy is an essential part of the overall CAP strategy. It must be used to help farmers modernise their farms to become more productive and competitive. Other policies also have a part in ensuring the well-being of the European farming community. For example regional policy should be aimed at creating jobs and social policy must be used to eliminate hardship and ease occupational change and promote new careers for those leaving farming.
 - c. European Liberals believe that to protect rural areas a sensible and sensitive use of these policies should enable farmers to live on smaller and less efficient units. The promotion of tourism and other activities suitable for the country should be part of a programme to enable them and other countrydwellers to earn a livelihood in their home area. Policies must also take account of the need to maintain certain types of agriculture on environmental grounds.
2. The Liberals are in favour of an integrated Common Agricultural Policy replacing national policies. They believe such a policy to be an essential element of the future European Union. The smooth functioning of this policy depends critically on economic and monetary stability.
 - a. A well integrated Common Agricultural Policy is the best way of securing food supplies for Western Europe. This integration must be much more than a mere combination of the national agricultural economies. The natural consequence of this policy will be increasing specialisation within the Community.
 - b. The functioning of this policy depends critically on economic and monetary stability. The lack of coordination in these areas is endangering the very basis of the CAP. Currency movements and floating exchange rates, which reflects the instability and disharmony of national economic policies in Europe, have made it necessary for agricultural policy itself to fill the gap in order to maintain the principle of the unity of the market and common pricing.
 - c. The lack of European monetary policy has made it necessary to develop a system of monetary compensation payments on cross border farm trade. Accepting that this system will remain necessary as long as parity changes will occur between Member States, European Liberals insist that these payments should be phased out to enable agriculture to adjust gradually in the light of changing economic patterns. Nevertheless, seen in the long run the present system of monetary compen-

sation goes far beyond agricultural policy. It is being used as a way of re-distributing resources between Member States and should be tackled more in the context of economic and monetary policy. This would enable agricultural policy to devote all its energy to farm and food problems.

3. The Common Agricultural Policy must bring advantages to both farmers and consumers, without loading unnecessary burdens on the European taxpayer. It must be used to help farmers modernise their farms to become more productive and competitive.

- a. Agriculture and food policy should be aimed to help farmers to provide food for consumers at competitive prices, in order to guarantee them comparable incomes with those enjoyed in other industries. The European Liberals reject the idea that the true interests of consumers and producers are in conflict.
- b. The main aim of farm price policy, should be to maintain secure food supplies at reasonable prices. European Liberals believe that the policy must be operated in a flexible way in order to bring about these objectives at lowest cost to consumer and the taxpayer. The support system must be geared to encourage individual and cooperative efficiency in marketing.
- c. Secure food supplies depend partly on a sensible stocking policy. European Liberals support the idea of programmed stocks of basic food products — coordinated, if possible, on an international scale. These will reinforce the security of good food supplies and enable the Community to fulfill food aid responsibilities to other countries.
- d. But European Liberals are fully aware of the difference between controlled food stocks and structural surpluses in specific sections of agriculture. Such surpluses must be reduced by measures aimed at relating supply to demand. Temporary producer sharing of the costs in these sectors is necessary until market balance is restored.
- e. Harmonisation of food quality standards should not be pressed beyond the need of protecting the consumer and ensuring flexible as well equitable market conditions within the Community.

4. The basic principles of the CAP are right. They have enabled the policy to bring stability to the agricultural economy and have avoided the inflationary effects of sharp food price rises. But the application of these principles to agricultural problems must be improved. In particular vigorous action is needed to eliminate persistent structural surplus.

- a. The Liberals want to maintain the principles of CAP. Efficient farmers using modern methods must be allowed to make their living out of the market. Support prices should be fixed at levels that make this possible, taking due account of conditions of supply and demand. The other basic principles of the policy — free trade between all Member States, preference in the community market to the Community's own products and common financing of the policy costs — are all essential to enable the common market to work efficiently.
- b. Pricing policy is a decisive element not only for the income of farmers but also for developing supplies to match demand and for encouraging a wide range of quality products. The system practised up to now is too rigid and has therefore lead to surpluses and rising expenditure, and must be made more flexible, by introducing a

mechanism for short term price changes. The system of market intervention on a permanent basis should be made more flexible, especially for products in surplus.

- c. The reliability of food supplies depends partly on proper storage arrangement. The European Liberals support the idea of planned storage of basic food products, coordinated where possible at international level. These stocks will improve the reliability of food supplies and give the Community the opportunity to meet its responsibilities as regards food aid to other countries.

5. Agricultural policy must be developed in a way that demonstrates a responsible attitude to food supplies and production in the rest of the world. Ill-considered policy changes in one country or group of countries, can have a destabilising effect on agriculture over a wide area. European Liberals believe that the brutal fluctuations that have characterised some world markets in recent years must be avoided.

- a. As an important food producer, the EEC also has a major worldwide responsibility for safeguarding and improving the world food situation. International trade arrangements can play an important role in this context and European Liberals fully support the present negotiations for new multinational trade agreements. Bilateral longterm agreements between the Community and third countries may also provide an extra stabilising factor. The European Liberals reject the idea that agricultural trade should be directed towards securing short term advantages without any regard to longer term objectives.
- b. Apart from such short term crises, Liberals believe that food supplies in the less-developed countries are best augmented by long-term programmes of technical and educational assistance and by the progressive opening of world markets to their products. Another important role of agriculture policy is to enable food to be made available to alleviate famine anywhere else in the world.

6. While other food production has been covered by the existing CAP, fishing presents new and different problems and tasks to the Community. A continued and assured supply of fish depends on conservation and the correct management of fish stocks. Therefore the Community must have a common fishing policy aimed at conserving and increasing the resources of the seas, including measures against pollution.

- a. Traditionally, fishing has been based on the practice of hunting and on this basis fishermen have made a great contribution to our supply of food. But depletion of stocks — threatening extinction of certain species — and improvements in fishing techniques have made it necessary to take a different attitude towards the food resources of the sea. These resources should continue to be an important, and perhaps a growing, part of our food supply, especially in view of their contribution of protein to our diet. But fish move without regard to any man made boundaries and therefore a common policy is urgently necessary.
- b. Fishing is a key part of the economy of many coastal areas of the Community, although the type of fishing involved varies greatly. The common fishing policy must take account of the needs of those areas and its rules should be modified appropriately. Where changes in international fishing rules have taken traditional grounds from them, the Community should provide special measures of assistance.

c. The common fishing policy should

- develop research into fishing;
- monitor stocks of all endangered species;
- devise new methods for increasing stocks;
- fix areas of prohibited fishing for specific species, permanently or on a seasonal basis;
- restrict and license fishing boats and trawlers from third countries entitled to fish in Community waters.

- d. Within the Community's responsibility for agreements to allow third countries access to Community waters, should only be agreed on a reciprocal basis and must take into account the need to conserve fishing resources.
- e. Measures against pollution by noxious chemicals and oil spillage should be vigorously enforced, appropriate agreements should be concluded.
- f. The Community should develop the means for common supervision of its fishing policies.

xiii. Foreign and security policy

1. The European Union needs a common foreign policy. As a part of Europe, which for some time has only been an object of world politics, it must become a positive force. The pressing problems of our time can be solved only in close cooperation with other countries. We do not wish to unite Europe in order to dominate others but to make a real contribution to stability and world peace.

- a. In an era of world power politics, no individual European country can afford to act on its own, since political forces and economic factors now interact on a world scale and affect everyone. Europe must « speak with one voice » in the world and to the world. We wish to unite European foreign policy not to dominate others but to make a real contribution to stability and world peace.
- b. The crisis caused by sharp and sudden rise of oil prices and uncertainty about future supplies of raw materials emphasise the need for acting together.
- c. The European Union can play a role in world affairs, whose importance will be greater than the sum of the individual parts. We know that many people outside Europe are urging us to play this role. However it will take time and patience to develop unity throughout Europe.

2. A liberal foreign policy should be based on acting together in support of common ideals and the rule of law. In the world at large, Europe should stand for the maintenance of peace, the principles of freedom, democracy and self-determination and the right of all mankind to individual liberty, social justice and equality of opportunity.

- a. The creation of the Community has already had a significant effect on world security since it is now impossible to imagine Member States in armed conflict with each other.
- b. By its nature and structure as well as the geographical position of its member countries, the European Union could not possibly act as an aggressor or troublemaker in the political relations with the rest of the world. For this reason European Union has exceptional opportunities for contributing to the peace and stability of the world.
- c. Unfortunately, despite the undertakings given by all states signatory to the UN Charter, many people are still denied Civil Rights and

elementary freedoms. Liberals will never abandon their pledge to universalize these rights and freedoms and to give support to attempts to increase understanding and tolerance, especially as regards the free movement of people, information and ideas across frontiers. Unfortunately we live in a world, where — in spite of the United Nations Charters — many people do not enjoy a democratic system of government. This we deeply regret, but the Community must not abandon its principles in its foreign policy. Liberals will always and everywhere fight for these rights and support efforts to increase understanding and tolerance, especially in connection with free movement of people, information and ideas across frontiers.

- d. A common foreign policy should be developed on a Community basis, regardless of whether the problems concerned are covered fully or partially by the Treaties. The existing cooperation between Foreign Ministers should be continued and extended. Joint representations of the European Union should be gradually set up in third countries and international organisations.

3. In its foreign policy the European Union must choose its priorities realistically. Cooperation within the Atlantic Alliance, detente between Eastern and Western Europe, and the North-South Dialogue are the most urgent and important tasks. The Community should follow a good neighbourhood policy towards adjacent regions. It must extend cooperation with the Western European countries which are not Member States. Moreover cooperation with the countries of the Mediterranean basin and of the Middle East should be our special concern.

- a. The geographical position of Europe and the historical background of the member countries condition its foreign policy. The Atlantic Alliance is fundamental to our freedom and to peace and prosperity in the rest of the world.
- b. The European Union is, more than any other body concerned with the relationship with Eastern European countries. Our historical background offers the possibilities for closer human contacts, greater economic cooperation and better political relations. This is also true of the relationship between industrialised and developing countries, as well as of the Mediterranean and the Middle East countries.
- c. Relationships to other countries in Western Europe are important and have to be developed and improved, not only through existing European organisations and international bodies but also directly in the field of foreign affairs.

4. Foreign, security and defence policy are closely linked and must be coordinated in order to preserve peace. Our society will only be able to develop in freedom if it is protected against aggression and threats of aggression. For this reason the European Union must take security into account, develop a coherent policy, and make provision for appropriate procedures in this connection. Peace, however, is more than the mere absence of war. For this reason the European Union must work towards the establishment of mutual trust and cooperation in Europe, making armed conflict impossible. The European Union as a peacekeeping institution, must contribute to strengthen the Atlantic Alliance as well as its role within it.

a. European foreign policy should not underestimate its own responsibilities for security but should openly develop and practice a coordinated security and defence policy. This is the only way in which the Community can face its responsibility and act as a unifying force in the world of political and military blocs.

b. The European Union, the USA and Canada share a close concern for the maintenance of democracy, respect of human rights and world peace. They have common interests in external trade, monetary affairs and in an economic world order that assures greater stability and justice. This is why we have a special relationship with the USA and Canada. In this context the Community should seek to coordinate the security policy of the Member States within the Atlantic Alliance.

c. Growing European integration, in connection with industrial, scientific and political issues, leads to a new level of partnership and equality within the Atlantic Alliance.

5. The European Union can and should play an important role in the difficult but necessary process of détente between East and West, and especially throughout Europe. Increased cooperation, broader contacts and growing exchanges between countries and individuals all over Europe are essential elements of peace and stability. In this connection increased efforts should be made to ensure the implementation and further development of all the measures specified in the CSCE Final Act. On this basis the European Union must adopt initiatives on disarmament (arms limitations, arms control, balanced troop reductions). The European Union should constantly work for the lowering of barriers to the free movement of people, information and ideas.

The process of détente is a vital element of the foreign policy of the Community. Success should be judged by the way in which barriers are effectively removed and the present level of military confrontation in Europe is mutually reduced. The Rome Treaties also require joint action to be taken on economic questions. On the basis of a common attitude in questions of security and foreign policy, efforts should be made to encourage broader contacts with the Soviet Union and the Eastern European states.

6. The European Union must make persistent efforts to facilitate peaceful development in the countries bordering the Mediterranean, and in the Middle East, thus helping to remove the causes

of chronic tension and to improve the political, economic and social situation in that area.

a. Because of its geographical and historical links with the Mediterranean area, the European Union has a natural concern for the political and economic development of that area. Peace and stability in the Middle East will partly depend on the extent to which economic cooperation between Europe and the whole area is established.

b. A division of this area into two spheres of interest between the two super powers carries in itself a risk of new conflicts. Close economic collaboration with Europe can make it easier to overcome the old antagonisms in the area.

7. The enlargement of the Community should be seen not only in economic terms but also in political terms. All free and democratic countries should in time be welcome to join the Union if they so wish and provided that they fulfil the obligations of membership in particular by the organisation of free and representative elections for the European Parliament. Enlargement must not be allowed to jeopardize the steady and efficient development of the European Union. Europe must be firmly united if enlargement is to be made easier.

Special measures will have to be introduced to deal with economical difficulties as and when, at enlargement of the Community, they arise. The Liberals and Democrats welcome the Greek, Portuguese and Spanish applicants for membership of the European Community. They call for an early and favourable completion of the negotiations concerning accession so that these three countries can be accepted as members as soon as possible.

8. The European Community will make every effort to urge the United Nations to perform its tasks effectively in fields such as security, freedom and social justice in the world. We therefore advocate the appointment of a UN High Commissioner for Human Rights.

The United Nations have proved to be an invaluable forum at which all the governments of the world can meet each other. Therefore the UN is in a unique position to contribute effectively to the creation of a world legal order. Liberals and Democrats attach great importance to its role as guardian of peace and defender of basic human rights throughout the world.

The UN can give active support to victims of discrimination and oppression and as well as promoting the creation of a new international economic order. To enable it to live up to its tasks, Liberals and Democrats favour a strengthening and where necessary a more adequate structure and a better functioning of the UN and its many associated organisations.

XIV. Cooperation and development policy

1. The Liberal and Democratic Parties are conscious of their responsibility to contribute to the development of the Third World. This is a prerequisite for establishing better worldwide rela-

tions and preventing the contrasts between North and South becoming more marked. A new economic order offering equal opportunities to all must be established.

- a. We are convinced that a new and fairer world economic order will give developing countries a better chance of improving living standards for their people. It is intolerable that in the modern world so many people exist in abject squalor and poverty. We uphold the view that one of man's basic rights is the right to live decently and have the chance to realize his potential as an individual. Liberty is a meaningless concept unless it can be attained by all men and women. Our policies are designed to help in the elimination of poverty and to create a world in which freedom and liberty become a reality for every individual. Assisting in a positive way to eliminate poverty must therefore be one of the chief objects of the North-South dialogue.
 - b. Many Western industrialized nations, but particularly those belonging to the European Community, have realized in recent years their heavy dependence on countries which do not have a strongly developed economy and where the population has a low standard of living. However, this notion has not always permeated very deeply into the Member States of the European Community, despite the economic crisis which has spotlighted the weakness of the industrially developed nations.
 - c. The European Community's vulnerability was also clearly demonstrated by the energy crisis and to a lesser extent by the shortages of various raw materials. Without energy and without raw materials, our industrial growth cannot be continued and our well-being is jeopardized. Securing imports of raw materials is one of the further objectives of the North-South dialogue.
 - d. Raw material producing countries must be able to find purchasers if they wish to benefit from their natural resources. This means that they must be able to count on reasonable revenue from their raw materials.
 - e. Consequently, new relations must be established between the industrialized nations and the developing countries. They must no longer be characterized by dominance, but must on the contrary be orientated towards achieving international cooperation based on mutual dependence and the need to use more efficiently existing sources — in particular oil and natural gas — and raw materials.
2. The European Community must make a point of helping economically backward countries by providing for appropriate development aid. It must ensure that the Community and its Member States together provide the developing countries with official aid amounting to at least 0.7 % of GNP by 1983. The Liberal and Democratic parties consider that it is even more important to help developing countries increase employment as well as their trading opportunities. The market economic forms of international trade are an essential element for effective aid through trade.

- a. Recognition of the principle of the free market economy in no way excludes the setting up of a system which guarantees a minimum income for producers of raw materials and basic products. In particular we should strive to reduce strong price fluctuations which tend to upset the economy of the development countries.
 - b. The European Community has already demonstrated its willingness to see some manufacturing activities transferred to the developing countries (Convention of Lomé) in order to contribute to a higher standard of living there. Closer attention must be paid to the implementation of these agreements, but at the same time it seems necessary to consider extending them to other countries. Member States should strive to attain the objectives established by the United Nations as regards development aid to be provided by the industrialized countries.
 - c. Increased purchasing power in developing countries will create increased demand for goods from European industries. Employment possibilities in Member States will increase and not reduce if more agreement can be reached on the ranges of goods that industrial and developing countries should produce. We support the U.N.I.D.O. call for continuous consultations in redeploying world industry.
3. Economic progress in the developing countries can be helped by the right kind of investments of private capital. The Liberal and Democratic parties wish to encourage such private investments, but they feel there must be proper safeguards for both investor and recipient.
- a. Trusting in the principles of the socially adjusted market economy, the Liberal and Democratic parties feel that private capital can play an important part in improving living conditions for the indigent population in the developing countries.
 - b. There exist a growing tendency among some Third World countries possessing certain raw materials to establish industries operating at a higher technological level. A first step in this direction was taken by the oil producing countries which are endeavouring to process their home produced oil in refineries and petrochemical plants. This fact will have to be taken into account by the countries of the Community, since it entails the need for the Community to rethink its commercial and industrial policy.
 - c. Liberal and Democratic parties want to see every encouragement given to the spread of intermediate technology in developing countries. This technology is inexpensive and is suitable for use in many different locations throughout a country. Furthermore it provides the jobs which developing countries urgently need.
 - d. We support the initiative of the World Bank and similar bodies to encourage the spread of small scale private and joint ownership enterprises in developing countries. The flow of capital to these small enterprises should be increased with proper safeguards for both inves-

tor and recipient. We call for a Code of Conduct to regulate the activities of multinational corporations who operate in developing countries and support the efforts of the UN Conference on Trade and Development to achieve such a Code.

4. The Liberal and Democratic parties resolve that, although the existence of a Western type democracy in developing countries cannot and should not be used as a criterion when the European Community is deciding on the provision of aid, assistance should not be given to regimes which grossly and persistently violate Human Rights. However, a close watch must be kept to ensure that the aid benefits the whole population and not just a privileged group. This can best be ensured by carefully selecting the type of project to be supported.

- a. Democracy as it exists in the European Community is the result of a very long and gradual political process, but truly democratic countries remain a minority in the world. Development aid should therefore not be decided by ideological considerations or the forms of government in the Third World. However, all signatories of the UN Declaration of Human Rights have undertaken an obligation to respect the fundamental rights of their people. The European Community should therefore withhold its development aid from regimes which flagrantly violate Human Rights.
- b. We should make sure that our development aid really benefits the population needing it and not just a privileged group trying to reserve the profits of development aid for itself. The European Community should therefore elaborate a development policy which aims at increasing the standard of living of the entire population. This can best be secured through carefully selected projects.
- c. It is to be regretted that some of the aid granted is used for purchasing a large quantity of virtually useless armaments or for costly prestige projects demanded by the rulers of the developing countries, to the disadvantage of the mass of the population. The repression of any form of opposition to corrupt regimes stifles any criticism against this expenditure which makes the population even more destitute.
- d. To avoid interfering in the internal affairs of the developing countries, great caution must be exercised when aid is granted. A judicious selection of projects to be supported can definitely point the way towards genuine participation by the population of the developing countries in the policy and the administration of their country.
- e. Development aid must be directed primarily to the most needy countries. It is particularly important to ensure that the available potential — human and material — is used as effectively as possible. The poorest countries will never become aware of their own potential if they are simply the recipients of charitable hand-outs.

5. The developing countries having neither raw materials nor primary products have a greater

need than the others for aid to foster activities which can guarantee their population a decent existence. The Liberal and Democratic parties consider that financial and other aid should be granted to developing countries subject to the maximum efficiency criteria. Everything must be done to avoid an increase in the debt burden of the poorest countries.

- a. in order to solve their financial problems, the poorest developing countries have frequently had recourse to loans. For some years now, the considerable surplus balance of the oil producing countries has enabled them to make enormous amounts available to the most destitute countries. However, this could lead to a disruption of the world exchange market. In the long run, even special financial help may not be able to prevent a serious financial crisis. Interest-free loans such as those granted by the International Development Association (IDA) offer no real solution. The poorest countries will be unable to pay the increasingly high prices for energy, basic products and finished products. The gap between them and the raw material producing countries, as well as the industrialized nations will continue to increase.
- b. The dependence on foreign financial help places the poorest developing countries in an inferior position which is not conducive to fruitful cooperation. This situation can only intensify the extremism which prevents political evolution to democratic awareness. It threatens to place a heavy burden on the solidarity needed on a world-wide scale, a solidarity which is essential if we are to face up to the serious economic, social and political problems with which the world is likely to be confronted at the end of the 20th century and which could lead to extensive conflicts.
- c. The solution to the financial problems faced by the poorest developing countries requires the political and economical commitment of all economically and financially stronger nations; they must work out common measures to enable the poorest countries to stave off persistent financial troubles.

6. The Liberals and Democrats are in favour of negotiating an international raw materials policy which pursues the following goals :

- the reduction of extreme price fluctuations in the case of specific raw materials,
- the stabilisation of revenues accruing to the emergent countries from raw material exports,
- the assurance of adequate raw materials supplies to poor countries in raw materials in North and South,
- more processing of raw materials in the emergent countries as a contribution to an improved international sharing of work.

- a. Experience in recent years in the field of energy and raw material prices has shown that sudden and steep rises cause serious disruption in world trade, with all the social consequences for both the industrialized nations and the poorest developing countries this involves.

- b. The following solutions would be in the interest of all concerned :
 - Raw material agreements for suitable products to reduce price fluctuations, if necessary with

the help of a common fund with equalising functions, and

- internationally agreed and administered buffer stocks to less commodity price fluctuations.

7. Many developing countries have serious food supply problems as a result of expanding populations, insufficient domestic production and the high cost of imported food. The Liberal and Democratic parties consider that when development programmes are being drawn up, priority must be given to small scale projects and other schemes enabling food requirements to be met by means of increases in domestic agricultural production.

- a. It would be possible for many developing countries to avoid heavy financial burdens if they enjoyed a certain amount of self-sufficiency in terms of food production. Although inadequate purchasing power is often the real reason for people going without food, domestic food production could be the basis of economic development for the poorest nations. Special attention could be given to the stimulation of individual farming and cattle raising in regions where this is possible.
- b. Thanks to their wide experience in agriculture, the industrialized nations — especially those belonging to the European Community — can help to increase production in developing countries. All possible and material assistance must be offered to this end.
- c) The member-states of the European Community can make some of their agricultural surpluses available to those countries where the need is the greatest. This aid must also be utilized as efficiently as possible. Before supplies are delivered guarantees must be obtained that the aid will reach

the population and that it will not be used by those in power to consolidate their authority.

8. The European Union needs a common policy of collaboration with the developing countries. Although there are no objections to a bilateral development policy on the part of individual member-states — bearing in mind the special links that certain countries have — a common development policy should be favored.

- a. Europeanising development policy promotes the idea of a united Europe, both inside and outside the member-countries, and especially in the emergent countries, where Europe is increasingly regarded as a political and economic unit. The signing of the Lomé convention, cooperation agreements with Arab countries, and the resultant tangible successes, have brought into view pointers towards how collaboration with emergent countries can be improved.
- b. One thing which is indispensable in the view of the Liberals is to add to the competences of the E.C. at an early date so as to make collaboration more efficient. Such collaboration does not merely refer to projects launched by individual industrial countries, but to collaboration between regions and countries in the Third World and the Community and, moreover, to the policy pursued by the Community in relation to the United Nations and in the latter's international organisations and conferences.
- c. In some cases it may be desirable to give priority to bilateral aid, because of existing links — especially in the field of education. But in other spheres, in particular economic and social, it appears less appropriate to organize aid on a bilateral basis because of the possibility of friction which could threaten the whole idea of development aid.

Conclusion

European liberals and democrats want the present European Community to develop into a true Union of states and peoples. This Union must be democratic and lend new vitality to many of the traditions of which we Europeans are justly proud. It must enable us to develop our economic and social environment according to the principles of a social market economy, a fair distribution of wealth and real equality of opportunity for all men and women. It must enable Europe to make its full contribution towards solving major world problems. Finally, it must be open to all European countries who wish to join, bear their part of its obligations and share its ideals and aspirations.

In our programme which was democratically adopted at our Congress of Nov. 1977, we have set out how this great task should be carried out. As first European party formation we have proposed a number of policies that must be pursued in order to achieve these aims.

The coming elections to the European Parliament mark an important milestone in our turbulent history. For the first time the voters of Belgium, Denmark, France, the Federal Republic of Germany, Ireland, Italy, Luxembourg, the Netherlands and the United Kingdom are asked to exercise their political rights as European citizens. This constitutes both a historic occasion and a great opportunity for the future. It is of the highest importance that this opportunity be seized.

The coming elections are only a beginning. Beyond them, we look to the future and to the many tasks that lie ahead. A new, uniform electoral system will have to be worked out which will ensure fair representation of all European political forces at the European level. The present European Community must be developed into a true Union, capable of serving the interests of its citizens and of acting on their behalf for the benefit of all.

By a massive turnout at the polls, European citizens will demonstrate that they are determined to use their newly acquired rights to the full. By voting for a candidate standing for one of the member parties of the Federation of European Liberal and Democratic Parties they will add to the strength of those who want to build our common, European future on the sure foundations of freedom, justice and humanity.